# Cost, Carbon, and the Speed of Replenishment in Distribution Network Design

**Abstract**

Firms that distribute through regional distribution centers (DCs) need to reconsider how many DCs to operate and how fast to replenish them as carbon is increasingly priced into these decisions, whether voluntarily or through regulation. In this paper, we examine which way, and how far, a carbon price or cap moves the two decisions. Each decision trades one source of emissions against another. Slower line haul burns less fuel but requires more safety stock; more DCs shorten the last mile but add buildings and give up the pooling that keeps inventory low. We model the two decisions jointly and show that the design problem has a unique optimum at every carbon price. For a given network, carbon pricing favors faster replenishment when the inventory that speed saves emits more per dollar than the speed itself. Goods in transit carry a financing cost but no carbon: for a given network, financing them raises the cost-minimizing speed without changing the carbon-minimizing speed. For a given speed, carbon pricing favors more DCs when a dollar of last-mile delivery emits more than a dollar of facilities and lost pooling. With both decisions adjustable, a small carbon price can favor consolidation even when the carbon-minimizing network is more dispersed. A firm can compute these comparisons from its operating rates, demand characteristics, and cost-minimizing configuration.

**Keywords:** Distribution network design; Carbon pricing; Replenishment speed; Safety stock; Last-mile delivery; Continuous approximation

# 1 Introduction

How many distribution centers (DCs) to operate and how fast to replenish them are long-standing questions in distribution network design (Eppen 1979; Daskin et al. 2002; Shen et al. 2003), and firms continue to revisit both. Some have moved stock closer to demand. Amazon divided its US fulfillment network into eight regions and reported a 19% reduction in the miles traveled to deliver packages (Amazon.com, Inc. 2023), and Home Depot is building flatbed DCs in its forty largest markets (The Home Depot 2020). Others have slowed their line haul. AstraZeneca has moved most of its international freight from air to ocean and ships about 65% of its cargo by sea (Pharmaceutical Commerce 2023), and truckload shippers typically convert lanes to intermodal rail once the savings reach 10 to 15% (FreightWaves 2026). The reasons these firms give are mainly cost and delivery service; Amazon also describes shorter shipments as better for the environment, and AstraZeneca relates its shift to its sustainability efforts. What is new is that carbon is beginning to be priced and reported: the European Union has priced the carbon of maritime shipping since 2024 (European Parliament and Council of the European Union 2023) and will price road fuel from 2028 (European Environment Agency 2026). California is phasing in the reporting of supply-chain emissions from 2027 (State of California 2023), and ISO 14083 standardizes how the emissions of transport and warehouses are counted (International Organization for Standardization 2023). A firm that prices or caps its distribution carbon must therefore ask which way, and how far, a carbon price moves these two decisions.

In this paper, we examine how a carbon price changes these two decisions: how many DCs the firm operates (the density of its network) and how fast it replenishes them. Slower replenishment saves freight emissions (Psaraftis and Kontovas 2013; Cariou 2011) but requires more inventory, which adds cost and its own emissions. A denser network cuts last-mile emissions but adds buildings and gives up the economies of pooled inventory (Eppen 1979; McKinnon and Piecyk 2012). Which way a carbon price moves each decision depends on which side of each trade-off emits more carbon per dollar.

We formalize this in a single-product location–inventory model with stochastic demand. The firm chooses network density and replenishment speed to minimize cost subject to a cap on expected or realized carbon and a service requirement. The model follows the location–inventory tradition (Daskin et al. 2002; Shen et al. 2003) in a continuous-approximation form (Daganzo 2005), with replenishment speed as a continuous decision. Because speed sets the lead time that safety stock must cover, it links transport and inventory in both cost and carbon, and the continuous form lets us state in closed form how pooling and the financing of goods in transit enter the two decisions.

We establish that the joint design has a unique optimum at every carbon price and that speed and density are complements. Building on this structure, our analytical contribution has two parts. First, we derive thresholds comparing the cost- and carbon-minimizing designs. The joint density threshold accounts for both lost pooling and the replenishment speed chosen by the carbon-minimizing firm. Under the quadratic specification with interior speeds, we express this threshold in terms of carbon intensities per dollar and the financing of goods in transit, and separate the

speed comparison into an intensity effect and a density effect. These results show how inbound transport carbon enters the network-density decision through safety stock.

Second, we characterize how a tighter carbon cap changes the least-cost design. For a given network, slower replenishment is favored when the marginal carbon per dollar of faster freight exceeds that of the inventory it saves, as when speed is bought with fuel; the reverse comparison favors faster replenishment. For a given speed, a denser network is favored when last-mile delivery emits more per dollar than the additional facilities and safety stock. When both decisions adjust, the initial response can differ from the eventual design: a modest carbon target can favor consolidation even when the carbon-minimizing network is more dispersed. These results distinguish the adjustments that incremental abatement calls for from those that deeper reductions require.

We illustrate these decisions in a network calibrated to public US data, showing how a firm combines replenishment and network adjustment to meet a carbon target at least cost.

The paper is structured as follows. In Section 2, we position the paper in the literature. In Section 3, we develop the model, and in Section 4 we answer the questions a firm asks of its network. Section 5 illustrates the answers with US data, Section 6 draws out managerial implications, and Section 7 concludes.

## 2 Related Literature

Our work connects four streams of research: location–inventory design with risk pooling, carbon-aware network design, the joint control of inventory and transport mode under emissions regulation, and carbon as a priced cost in service-constrained inventory systems. Each develops part of the two substitutions we study — availability (inventory or replenishment speed) and proximity (facilities or last-mile travel). We draw on all four and add the joint design of network density and replenishment speed under a carbon cap and a service requirement.

### 2.1 Location–inventory design and risk pooling

A first stream establishes how demand risk pooling shapes distribution network design: jointly choosing facility location and safety stock, it characterizes the cost-optimal number and placement of DCs. Eppen (1979) characterizes the effect of centralization on expected cost in the multi-location newsvendor. Daskin et al. (2002) and Shen et al. (2003) embed working and safety stock into the facility-location decision, so that risk pooling shapes the optimal design of DCs, with extensions to stochastic settings by Snyder et al. (2007) and Miranda and Garrido (2004), to capacitated warehouses by Özsen et al. (2008), and to continuous-approximation allocation by Tsao et al. (2012). Daganzo (2005) provides the continuous-approximation foundation in which last-mile distance scales with the inverse square root of the number of facilities, and Blumenfeld et al. (1985) use continuous approximations to trade transportation against inventory and production costs in choosing routes and shipment sizes on freight networks. Closest to our spatial–inventory coupling, Straubert (2024) ties the number of stocking locations to an exact reorder-point/order-quantity

inventory model through a delivery-lead-time penalty, solved by continuous approximation. Recent work extends the location–inventory problem in directions close to ours. Hu et al. (2025) add the choice of storage temperature, and Jalal et al. (2026) integrate multi-period location, inventory, and transportation decisions for a pharmaceutical network. Puttemans et al. (2025) review this literature. Beyond demand pooling, Schmitt et al. (2015) show that diversifying supply-disruption risk can favor decentralization for a risk-averse firm. These works develop network density and safety-stock placement under risk pooling with a cost or service objective. We retain the risk-pooling structure and the density decision and add a replenishment speed chosen together with density, and a carbon objective.

### 2.2 Carbon-aware network design

A second stream brings carbon into facility location and network design, characterizing how an emissions objective or cap can change the optimal network configuration. Cachon (2014) relates retail store density to greenhouse gas cost, with consumer travel to stores as the dominant emission channel and inventory entering through retail floor space. Turken et al. (2017) examine facility location and capacity under a carbon tax and emission limits, weighing centralization against decentralization through production scale economies, and Harris et al. (2011) compare cost-optimal and emissions-aware network designs numerically. Wang et al. (2020) develop a carbon-compliant location–inventory model under demand and carbon-price uncertainty, and Li et al. (2017) jointly optimize distribution-network design and two-echelon inventory under a $CO_2$ emission tax. Bouchery and Fransoo (2015) locate intermodal terminals and split freight between direct trucking and intermodal transport, and trace the trade-off between cost and carbon that modal shift creates. Hacardiaux and Tancrez (2020); Hacardiaux et al. (2022) assess the emission savings of a shared location–inventory network under horizontal cooperation and balance the partners' preferences over cost and carbon. Closest to ours in method, Zhang et al. (2026) combine continuous approximation with integer programming to show how a carbon price reshapes the choice among drone, truck–drone, and truck last-mile delivery. These studies make density or facility configuration the central decision and bring emissions into the objective, the constraints, or an ex post assessment; where transport is an operational choice, it enters through travel distances, discrete modes, or lead-time parameters. We treat network density and replenishment speed as joint decisions and characterize the proximity substitution between facilities and last-mile travel analytically.

### 2.3 Inventory, transport mode, and emissions

A third stream couples transport-mode and lead-time choices with inventory control under emissions regulation, characterizing how carbon reshapes the trade-off between freight and the inventory it serves. Its foundation is the inventory-theoretic model of Baumol and Vinod (1970), who value a freight service by its rate, speed, and reliability through the stock in transit and the safety stock it requires. Hoen et al. (2014) and Chen and Wang (2016) study transport mode selection alongside inventory under stochastic demand and emissions regulation; Qi et al. (2022) select door-to-door

transport services and routes for China–Europe freight against transport cost, in-transit inventory cost, and carbon; Bektaş and Laporte (2011) embed load-dependent fuel use and emissions in vehicle routing; Moradi et al. (2025) optimize driving speed and path under load-dependent fuel use; Konur and Schaefer (2014) solve the economic order quantity model with less-than-truckload and truckload carriers under carbon cap, tax, and cap-and-trade regulation, and Schaefer and Konur (2015) extend this to a continuous-review system under stochastic demand and trace the cost–emission frontier. Drent et al. (2023) analyze dynamic dual supply-mode selection under an emission target, and Hammami et al. (2015) bring carbon from manufacturing, ordering, and inventory into a multi-echelon production–inventory model with lead-time constraints. In shipping, Maloni et al. (2013) show by simulation that slower vessel speed lowers both total cost and carbon on an Asia–North America lane while raising the pipeline inventory that shippers carry. Our speed threshold prices the carbon as well as the cost of the inventory that slower replenishment requires, including the financing of stock in transit. In these papers, transport service enters through route and load physics, carrier class, discrete supply modes, or lead-time parameters and constraints. We add the speed and density thresholds that result when replenishment speed and network density are chosen jointly under a carbon cap and a service requirement.

Closest in its combination of decisions, Comas Martí et al. (2015) design a supply chain network under uncertain demand in which each market is assigned a manufacturing facility and one of four discrete transport modes, with a continuous-review inventory policy at each market, the carrying cost of goods in transit, and caps or taxes on carbon. They solve integer programs numerically and show that functional and innovative products call for different networks and abatement, and that a carbon tax set at the marginal abatement cost achieves roughly the abatement of the corresponding cap. In their model each market holds its own stock, and lead time follows from the chosen mode and distance. We pool markets at DCs and treat replenishment speed as a continuous decision, which gives closed-form conditions for the direction of both decisions and shows how pooling and the financing of goods in transit enter them. Boone and Ganeshan (2025) choose a discrete freight mode against inventory under an emission cap at a single location. We replace the finite set of modes with a continuous replenishment speed, price carbon on the holding as well as the transport side, and embed the speed decision in a network whose density is chosen jointly.

### 2.4 Carbon policy, service, and safety-stock placement

A fourth stream prices carbon directly into inventory and service decisions, showing how a carbon price or cap shifts order quantities and safety-stock placement. Hua et al. (2011) and Bouchery et al. (2012) develop carbon-aware order-quantity models under cap-and-trade and multi-objective formulations, and Benjaafar et al. (2013) position cap, tax, and cap-and-trade as priced operational instruments in simple supply-chain models; Chen et al. (2013) derive the closed-form carbon-constrained economic order quantity, the single-location analog of the marginal carbon-intensity logic we extend to a network, and Arıkan and Jammernegg (2014) impose a product carbon-footprint constraint on a dual-sourcing newsvendor. Silbermayr et al. (2017) bring environmental

constraints into inventory pooling with dependent demand. Within multi-echelon service models, Ni and Shu (2015) study the trade-off between service time and carbon in safety-stock placement under the guaranteed-service framework, and Wang et al. (2025) incorporate cap-and-trade into guaranteed-service placement. Probabilistic carbon limits have been modeled through chance constraints in lot sizing (Koca 2021) and in supply-chain network design (Shaw et al. 2016), typically inside large mixed-integer programs; our deterministic equivalent scales the transport component of carbon by a single factor. Sebatjane (2025) survey these models. The service-placement models price carbon against service and safety stock; we add network density and replenishment speed.

# 3 The Model

## 3.1 Operational environment

**Region and markets.** A firm serves $N$ markets distributed over a service region of area $A$. Per-period demand at market $i$ is a random variable with mean $\mu$ and standard deviation $\sigma$, identically distributed across markets with common pairwise correlation $\rho \in [0, 1)$. Demand is stationary and the setting is single-product. Markets and DCs are treated symmetrically, the standard simplification that admits closed-form continuous-approximation results (Daganzo 2005).

**DCs and geography.** The firm opens $n$ identical DCs, $1 \le n \le N$, each serving a sub-region of area $A/n$. By the continuous-approximation spatial law, the mean last-mile (DC-to-market) distance falls as the square root of the served area,

$$d(n) \;=\; \delta\, n^{-1/2}, \qquad \delta \propto \sqrt{A}, \tag{1}$$

so a denser network shortens delivery but only at a decreasing rate (Daganzo 2005).

**Replenishment and the speed decision.** Each DC is replenished directly from the source at a chosen speed $v \in [v_{\min}, v_{\max}]$. Individual DCs lie at different distances from the source; what enters cost and carbon is total inbound freight: with identical DCs each carrying throughput $N\mu/n$, this is $\sum_j (N\mu/n)\, D_j = N\mu\, \bar{D}$, the total throughput times the *mean* source-to-DC distance $\bar{D}$. Because the DCs fill a region of fixed size served from a fixed source, $\bar{D}$ is set by the region's geometry (order $\sqrt{A}$) and is approximately invariant to $n$; we set $D \equiv \bar{D}$ and treat it as constant.[1] The replenishment lead time is then

$$L(v) \;=\; D/v. \tag{2}$$

[1] Two modeling reductions are embedded here. First, the symmetric-DC reduction assigns every DC the representative lead time $L = \bar{D}/v$ in place of its own $L_j = D_j/v$. Safety stock enters through $\sqrt{L}$, which is concave in distance, so by Jensen's inequality $\sqrt{\bar{D}} \ge n^{-1} \sum_j \sqrt{D_j}$ (Jensen 1906): using the mean distance slightly *overstates* aggregate safety stock, by a gap that is second-order in the dispersion of the $D_j$ and reduces as the distances equalize. Second, replenishment is point-to-point; on a consolidated route the inbound distance would grow as $\sqrt{n}$, as in the store-delivery tour of Cachon (2014), which reinforces centralization.

Lead time is the only channel through which speed affects inventory: safety stock covers demand over the lead time, and the goods in transit are proportional to it. We use $t(v)$ and $\varepsilon(v)$ to denote the cost and carbon of inbound freight per unit-mile at speed $v$, and we assume only that both increase with $v$ and are convex; for the closed-form results, we use the quadratic specification $\varepsilon(v) = \varepsilon_b + \varepsilon_0 v^2$ and $t(v) = t_0 + t_1 v^2$, with intercepts $\varepsilon_b \geq 0$ and $t_0$ that do not vary with speed, the canonical form motivated by the cubic fuel-speed law of slow steaming (Psaraftis and Kontovas 2013; Cariou 2011). On a given origin–destination lane, a faster mode such as truckload instead of intermodal rail, a faster vessel, or a team of two drivers who keep the truck moving all deliver a shorter lead time at a higher freight cost, and they differ in how much of that cost is fuel.

**Fuel and other costs of replenishment.** We divide the transport cost rate into fuel and other costs, $t(v) = t^{\mathrm{f}}(v) + t^{\mathrm{o}}(v)$. With a fixed fuel price and emission factor, and with fuel accounting for the emissions that vary with speed, $\varepsilon'(v) = \chi_{\mathrm{f}}\, t^{\mathrm{f}\prime}(v)$, where $\chi_{\mathrm{f}}$ is the carbon per dollar of fuel, so that

$$\frac{\varepsilon'(v)}{t'(v)} = \chi_{\mathrm{f}}\, \xi(v), \qquad \xi(v) = \frac{t^{\mathrm{f}\prime}(v)}{t'(v)}. \tag{3}$$

When both cost components rise with speed, $\xi(v)$ is the fuel share of the marginal cost of speed. Under the quadratic specification, $t_1 = b_{\mathrm{f}} + b_{\mathrm{o}}$ and $\varepsilon_0 = \chi_{\mathrm{f}} b_{\mathrm{f}}$, where $b_{\mathrm{f}} v^2$ and $b_{\mathrm{o}} v^2$ are the speed-dependent fuel and other costs, so that $\varepsilon_0 / t_1$ is constant. Moving from intermodal rail to truckload shortens lead time by burning more fuel per unit-mile, so most of its added cost is fuel. A team of two drivers shortens lead time at nearly the same fuel, and so nearly the same carbon, per mile, so most of its added cost is the second driver's wages. Where $t$ is a freight rate, the relation assumes that fuel costs pass through to the rate.

**Inventory and service.** Each DC operates a base-stock policy and must meet a cycle service level $\alpha$, the probability that demand over a replenishment lead time does not exceed the base stock. With normally distributed demand the safety factor is $z = \Phi^{-1}(\alpha)$, with $\alpha > \frac{1}{2}$ so that $z > 0$, taken here as a service requirement (a parameter). Demand is independent across periods, and each DC reviews its inventory continuously, so safety stock protects against demand over the replenishment lead time; under periodic review the protection interval would also include the review period. A DC that pools $g = N/n$ markets faces aggregate per-period demand with standard deviation $\sigma\sqrt{g\,[\,1 + (g-1)\rho\,]}$, the statistical economy of scale in inventory (Eppen 1979). Covering lead-time demand, each DC holds safety stock $z\,\sigma\sqrt{L}\,\sqrt{g[1 + (g-1)\rho]}$. Summing over the $n$ DCs and defining the *pooling expression*

$$\Psi(n) \;=\; N\rho + n(1-\rho), \tag{4}$$

the system-wide safety stock is

$$\mathrm{SS}(n, v) \;=\; z\,\sigma\,\sqrt{D/v}\,\sqrt{N\,\Psi(n)}. \tag{5}$$

At $\rho = 0$, (5) reduces to $z\sigma\sqrt{L}\sqrt{nN}$, the square-root law: decentralizing from 1 to $N$ DCs multiplies safety stock by $\sqrt{N}$. As $\rho \to 1$, $\Psi(n) \to N$ and safety stock becomes invariant to $n$.

**Decisions.** The firm chooses the network density $n \in [1, N]$ (relaxed to a continuous variable) and the replenishment speed $v \in [v_{\min}, v_{\max}]$. Table 1 collects the notation.

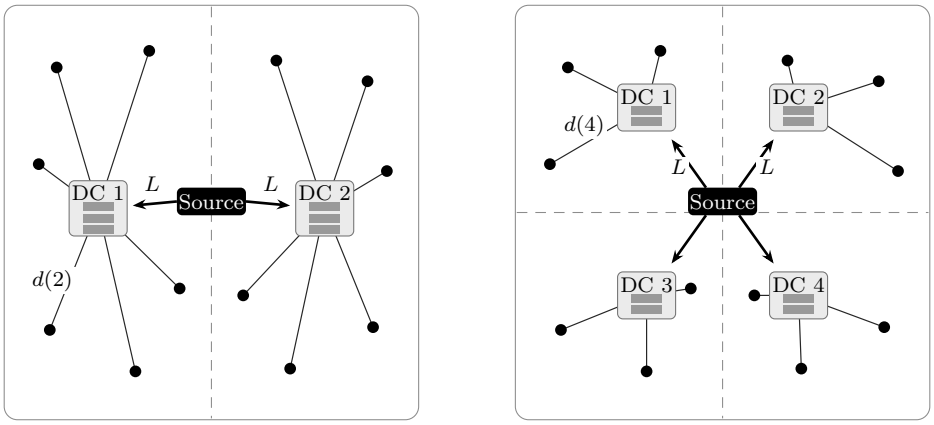
### 3.2 Cost and carbon

Both the cost and carbon functions are system-wide flows over a single representative period, consistent with the stationary single-product environment above: $F, \varphi$ are charged per DC per period, $h, \eta$ per unit held per period, and the transport terms accrue against the per-period throughput. The representative distances in Figure 1 therefore enter cost and carbon only through the total freight moved. Throughput is $N\mu$ whatever the density and speed, so

$$K(n,v) = \underbrace{F\,n + c\,N\mu}_{\text{facilities}} + \underbrace{h\,\mathrm{SS}(n,v)}_{\text{holding}} + \underbrace{h_p\,P(v)}_{\text{in transit}} + \underbrace{t(v)\,N\mu D}_{\text{inbound}} + \underbrace{t_L\,N\mu\,d(n)}_{\text{last-mile}}, \tag{6}$$

$$C(n,v) = \underbrace{\varphi\,n}_{\text{facilities}} + \underbrace{\eta\,\mathrm{SS}(n,v)}_{\text{holding}} + \underbrace{\varepsilon(v)\,N\mu D}_{\text{inbound}} + \underbrace{\varepsilon_L\,N\mu\,d(n)}_{\text{last-mile}}, \tag{7}$$

where $F, \varphi$ are fixed cost/carbon per DC, $c$ is the handling cost per unit, $h, \eta$ are holding cost/carbon per unit per period, $h_p$ is the financing cost of a unit in transit per period, $P(v) = N\mu D/v$ is the stock in transit, and $t_L, \varepsilon_L$ are last-mile cost/carbon rates (Shen et al. 2003; Hua et al. 2011; Benjaafar et al. 2013). Each term multiplies a rate by the activity it prices; apart from handling




$n = 2$: each DC serves 6 markets
more stock per DC, longer delivery legs

$n = 4$: each DC serves 3 markets
less stock per DC, shorter delivery legs

**Faster replenishment (shorter $L$), at a given density:**
system-wide safety stock shrinks, so holding cost and carbon fall, while freight cost and carbon rise.

**More DCs (higher $n$), at a given speed:**
delivery legs $d(n)$ shorten with territory area, so system-wide last-mile cost and carbon fall, while facility cost and carbon rise and weaker pooling raises system-wide holding cost and carbon.

Figure 1: Model representation for 12 markets ($N$) and 2 or 4 DCs ($n = 2$ or 4).

Table 1: Notation. The decision variables are the network density $n$ and the replenishment speed $v$; all other quantities are exogenous parameters or derived.

| *Symbol* | **Meaning** |
|---|---|
| **Decision variables** | |
| $n$ | number of DCs (network density), $1 \le n \le N$ |
| $v$ | replenishment speed, $v \in [v_{\min}, v_{\max}]$ |
| **Demand (exogenous)** | |
| $N$ | number of markets |
| $\mu,\ \sigma$ | mean, standard deviation of demand per market per period |
| $\rho$ | cross-market demand correlation, $\rho \in [0, 1)$ |
| **Geography, cost, carbon (exogenous)** | |
| $A,\ D,\ \delta$ | region area; inbound distance; last-mile distance constant |
| $F,\ \varphi$ | fixed cost, carbon per DC per period |
| $c$ | handling cost per unit handled |
| $h,\ \eta$ | holding cost, carbon per unit per period |
| $h_p$ | financing cost of stock in transit per unit per period |
| $t(v),\ \varepsilon(v)$ | inbound transport cost, carbon per unit-mile (convex in $v$) |
| $t_L,\ \varepsilon_L$ | last-mile transport cost, carbon per unit-mile |
| $\alpha$ | cycle service level (in-stock prob.); $z = \Phi^{-1}(\alpha)$ |
| $\tau,\ B$ | carbon price; carbon cap |
| **Derived** | |
| $g = N/n$ | markets served per DC |
| $L = D/v$ | replenishment lead time |
| $d(n) = \delta\, n^{-1/2}$ | mean last-mile distance |
| $\Psi(n) = N\rho + n(1-\rho)$ | pooling expression |
| $\mathrm{SS}(n, v)$ | system-wide safety stock, eq. (5) |
| $P(v) = N\mu D/v$ | stock in transit |
| $a(n, v)$ | safety-stock share of the inventory saving from speed, eq. (8) |

and the financing of stock in transit, which carry no carbon, the two functions differ only in whether the rate is measured in dollars or kilograms.

**Facilities.** The facility terms are the periodic cost and carbon of operating the open DCs. Each DC incurs a fixed charge $F$ per site and handles units at a cost of $c$ each. Because throughput is conserved, handling adds $cN\mu$ whatever the density, so it raises the level of cost without affecting the design. The facility terms do not depend on $v$. Facility carbon $\varphi$ is distinct from holding carbon $\eta$: $\varphi$ captures baseline building energy and embodied carbon, whereas $\eta$ prices the incremental carbon of storing a unit (for example refrigeration). In Appendix B, we extend the directional comparisons of Section 4 to facility cost and carbon that depend on throughput, and identify the changes to the magnitude and price-path results.

**Holding.** The holding terms $h\mathrm{SS}(n, v)$ and $\eta\mathrm{SS}(n, v)$ value the system-wide safety stock of (5). They rise in $n$ through the loss of pooling in $\Psi(n)$ and fall in $v$ through the lead-time factor $\sqrt{D/v}$. This is the channel through which replenishment speed couples transport and inventory carbon; for cost, stock in transit is a second channel.

**Stock in transit.** Each unit shipped is in transit for $L = D/v$ periods, so an average of $P(v) = N\mu D/v$ units are in transit, and this stock falls as replenishment speeds up. A firm that owns the goods while they travel carries their financing cost, $h_p$ per unit per period — the capital charge on the value of the goods; $h_p = 0$ when title passes on receipt at the DC. In ship-speed optimization, the same cost of cargo in transit raises the cost-minimizing speed (Psaraftis and Kontovas 2014). Stock in transit occupies no warehouse, and the carbon of moving it is counted in the inbound transport term, so it adds no carbon of its own; its financing cost does not depend on $n$. Faster replenishment therefore saves two kinds of inventory: safety stock, which carries holding carbon, and stock in transit, which carries none. We use

$$a(n, v) = \frac{h\,\mathrm{SS}(n, v)}{h\,\mathrm{SS}(n, v) + 2h_p\,P(v)} \in (0, 1], \tag{8}$$

to denote the share of the inventory saving from speed that is safety stock; the factor two arises because safety stock falls with the square root of the lead time and stock in transit with the lead time itself. Without financing, $a = 1$; with financing, the share rises with speed.

**Transport.** The inbound terms price the freight task $N\mu D$ at the rates $t(v)$ and $\varepsilon(v)$; they do not vary with density and rise in $v$, opposing the holding term. The last-mile terms price $N\mu\, d(n)$ at the rates $t_L$ and $\varepsilon_L$; they are decreasing and convex in $n$ and do not depend on $v$.

**Decomposition and scope.** The carbon function splits into a transport component $\varepsilon(v)N\mu D + \varepsilon_L N\mu d(n)$ and a facility-and-holding component $\varphi n + \eta \mathrm{SS}(n, v)$; the cost function has the analogous partition, with the financing term $h_p P(v)$ in addition. We hold the replenishment quantity of the network fixed, so that each DC's order falls as DCs are added and cycle stock is invariant to both decisions; we exclude production and procurement, as throughput is fixed at $N\mu$.

### 3.3 The program

The firm minimizes cost subject to a carbon cap $B$ and the service requirement,

$$\min_{1 \le n \le N,\ v_{\min} \le v \le v_{\max}} K(n, v) \quad \text{s.t.} \quad C(n, v) \le B. \tag{9}$$

Here $K$ and $C$ are expected flows per period, the long-run average cost and carbon of a configuration under stationary demand; we develop the analysis for this expected-value cap and treat a cap on realized carbon in Corollary 4.6.

Equivalently, pricing carbon at $\tau \ge 0$ gives the priced objective $J = K + \tau C$. At an interior optimum, the cap multiplier equals the price ($\lambda = \tau$), as in carbon-constrained inventory models (Chen et al. 2013); sweeping $\tau$ traces the cost–carbon frontier, along which the optimal configuration moves continuously (Lemma 4.1). Because cost and carbon are convex in the logarithms of $n$ and $v$ (Lemma 4.1), the capped problem (9) is a convex program in those variables: every cap above the

carbon minimum is met by a finite carbon price, and the capped problem and the problem under that price share the same unique optimum. The carbon minimum is the limit as the price grows without bound; only an integer number of DCs makes the design jump. Define the blended rates

$$F_\tau = F + \tau\varphi, \qquad H_\tau = h + \tau\eta, \qquad T_\tau(v) = t(v) + \tau\varepsilon(v), \qquad \ell_\tau = t_L + \tau\varepsilon_L.$$

Then

$$J(n, v; \tau) \;=\; F_\tau n + cN\mu + H_\tau \,\mathrm{SS}(n, v) + h_p\, P(v) + T_\tau(v) N\mu D + \ell_\tau N\mu d(n). \tag{10}$$

Setting $\tau = 0$ recovers cost; the limit $\tau \to \infty$ recovers carbon up to scale.

# 4 Analysis

We now characterize how a carbon price changes the two decisions. The answers depend on four carbon intensities per dollar, which we use throughout: holding, $r_h = \eta/h$; inbound transport at the margin, $\varepsilon'/t'$ of (3), which equals $r_t = \varepsilon_0/t_1$ under the quadratic specification; last-mile delivery, $r_L = \varepsilon_L/t_L$; and facilities, $r_F = \varphi/F$. Each measures the carbon that a dollar spent on the activity emits, so the direction in which carbon moves a decision depends on each activity's carbon *relative to its cost*. Proofs are in Appendix A.

With $G(n, v) = \partial \mathrm{SS}(n, v)/\partial n$ denoting the marginal safety stock of an additional DC, differentiation gives the stationarity conditions

$$F_\tau + H_\tau G(n, v) = \frac{\ell_\tau N\mu\delta}{2}\, n^{-3/2}, \tag{11}$$

$$N\mu D\, T'_\tau(v) = \frac{H_\tau \,\mathrm{SS}(n, v)}{2v} + \frac{h_p\, P(v)}{v}, \tag{12}$$

the first balancing the marginal facility and lost-pooling costs against the marginal last-mile saving, and the second balancing the marginal transport cost of speed against the marginal holding and financing saving it obtains. The speed condition (12) governs the *availability margin*: safety stock and replenishment speed are alternative ways to provide service. The density condition (11) governs the *proximity margin*: facilities and last-mile distance are alternative ways to reach markets.

## 4.1 Does the design respond to a carbon price predictably?

A firm that prices or caps its carbon needs a design that moves with the price in a predictable way. The objective is not jointly convex in $n$ and $v$, but it is convex in their logarithms. Let $J^{\mathrm{r}}(n; \tau) = \min_{v_{\min} \le v \le v_{\max}} J(n, v; \tau)$ be the *reduced objective*, the cost, carbon charge included, of operating $n$ DCs when speed is chosen optimally for that network. A function on an interval is *strictly quasiconvex* if it strictly decreases and then strictly increases, either phase possibly empty, so that it has a single minimizer.

**Lemma 4.1** (A unique optimum)**.** *Let $t$ and $\varepsilon$ be increasing, differentiable, and convex, let all cost and carbon rates be positive, let $h_p \geq 0$, and let $v_{\min} > 0$. For every carbon price $\tau \geq 0$, and for the carbon objective $C$:* (i) *the objective is strictly convex in $(\ln n, \ln v)$ on the feasible region;* (ii) *the problem has a unique minimizer, and under a carbon price the minimizer $\big(n^*(\tau), v^*(\tau)\big)$ is continuous in $\tau$;* (iii) *the speed response $v^*(n)$ is unique, continuous, and nondecreasing in $n$, and the density response $n^*(v)$ is nondecreasing in $v$, each strictly where it is interior when $\rho < 1$; the objective at any fixed speed and the reduced objective are strictly quasiconvex in $n$ on $[1, N]$.*

Adding a DC shortens every delivery but adds a facility charge and the safety stock lost to pooling. Measured in proportional changes of the network and of speed, each of these effects is convex, so once an additional DC stops paying for itself, no larger network makes it pay again. Because the objective is strictly convex in the logarithms of $n$ and $v$, the stationarity conditions (11)–(12) identify the optimum whenever it is interior, and the comparisons below hold globally. The reduced objective is flat near its minimum, so treating the number of DCs as continuous costs little: in the calibrated network of Section 5, rounding it to the best integer raises the objective by at most 0.14% at prices up to \$2,000 per metric ton and for the carbon objective, in line with the accuracy reported for continuous-approximation designs (Ouyang and Daganzo 2006; Ansari et al. 2018). By part (iii), the two decisions are complements: faster replenishment shrinks safety stock and lowers the inventory penalty of dispersion, and a denser network raises the inventory at stake and the value of speed. A firm should evaluate speed and density together.

### 4.2 When should replenishment be faster?

Faster replenishment raises inbound transport cost and carbon but lowers the inventory the firm must hold. For a given network, the carbon-minimizing firm therefore compares the carbon per dollar of the inventory that speed saves with that of the speed itself.

**Proposition 4.2** (Speed)**.** *Fix the density $n$, and let the speed-dependent cost and carbon be*

$$\hat{K}(v) = h\,\kappa(n)\,v^{-1/2} + h_p N\mu D\,v^{-1} + N\mu D\,t(v), \qquad \hat{C}(v) = \eta\,\kappa(n)\,v^{-1/2} + N\mu D\,\varepsilon(v),$$

*with $\kappa(n) = z\sigma\sqrt{ND}\,\sqrt{\Psi(n)}$, and let $t$ and $\varepsilon$ be increasing, differentiable, and convex.*

(i) *For interior optima, the carbon-minimizing speed exceeds the cost-minimizing speed if and only if the inventory saving from speed is more carbon-intensive per dollar than inbound transport* at the margin,

$$a(n, v_{\mathrm{K}})\,\frac{\eta}{h} \;>\; \frac{\varepsilon'(v_{\mathrm{K}})}{t'(v_{\mathrm{K}})}, \tag{13}$$

*evaluated at the cost-minimizing speed $v_{\mathrm{K}}$. On $[v_{\min}, v_{\max}]$ the optima are the projections of the unconstrained speeds onto the interval, so the comparison holds weakly, and strictly when neither projection binds. With the quadratic specification, the right side of* (13) *is $r_t$; without financing*

*($h_p = 0$), $a = 1$, the threshold is $r_h > r_t$, and the unconstrained optimum is*

$$v^*(n) \;=\; \left[\frac{(h+\tau\eta)\, z\sigma\sqrt{ND}\,\sqrt{\Psi(n)}}{4\,(t_1+\tau\varepsilon_0)\, N\mu D}\right]^{2/5}. \tag{14}$$

(ii) *Under the quadratic specification, $v^*(n)$ increases with the safety factor $z = \Phi^{-1}(\alpha)$ and with the demand standard deviation $\sigma$ wherever it is interior. Without financing, $z$ and $\sigma$ leave* (13) *unchanged; with financing they raise $a(n, v_{\mathrm{K}})$, so they can turn the comparison toward faster replenishment but never toward slower.*

Total carbon is U-shaped in speed, so a firm that tightens its carbon target may need to replenish *faster*. By (3), a lower fuel share of the marginal cost of speed lowers the right side of (13), so speed bought with labor is more likely to pay in carbon than speed bought with fuel. Financing stock in transit works the other way: it makes speed valuable to the cost-minimizing firm for the capital it saves, and so lowers the share $a$. The comparison holds density fixed; when both decisions adjust, a more dispersed carbon-minimizing network reinforces a move to faster replenishment, and a more consolidated one weakens it (Section 4.4).

### 4.3 When should the network be denser?

Increasing density shortens the last mile but raises facility cost and carbon and weakens pooling. For a given speed, the carbon-minimizing firm therefore compares the carbon per dollar of last-mile delivery with a blend of facility and lost-pooling carbon.

**Proposition 4.3** (Density)**.** *Fix the speed $v$ and let*

$$G(n,v) \;=\; \frac{\partial\,\mathrm{SS}(n,v)}{\partial n} \;=\; z\sigma\sqrt{D/v}\,\sqrt{N}\,\frac{1-\rho}{2\sqrt{\Psi(n)}} \;\geq\; 0 \tag{15}$$

*be the marginal safety-stock penalty of an additional DC.*

(i) *The minimizer of $J(\cdot, v)$ is unique; it is interior if and only if $J_n(1,v) < 0 < J_n(N,v)$, and otherwise lies at a boundary, $n^* \in \{1, N\}$. For an interior cost-minimizing density $n_K(v)$, the carbon-minimizing density exceeds it, $n_C(v) > n_K(v)$, if and only if last-mile transport is more carbon-intensive per dollar than the* pooling-adjusted facility threshold*,*

$$\frac{\varepsilon_L}{t_L} \;>\; \frac{\varphi + \eta\, G\big(n_K(v), v\big)}{F + h\, G\big(n_K(v), v\big)}. \tag{16}$$

*The right-hand side is a weighted average of $r_F$ and $r_h$, with weight on $r_h$ rising in the pooling penalty $G$. In the no-pooling limit ($\rho \to 1$, so $G \to 0$) the optimum is closed form when interior, $n^* = (\ell_\tau N\mu\delta/2F_\tau)^{2/3}$, and* (16) *reduces to*

$$\frac{\varepsilon_L}{t_L} \;>\; \frac{\varphi}{F}. \tag{17}$$

(ii) *Under the quadratic specification, and with speed chosen optimally for each network, a higher $z$ or $\sigma$ raises the inventory penalty of a denser network and lowers the optimal density at every carbon price, strictly when it is interior; it shifts the carbon-minimizing density toward consolidation.*

The density decision is the centralize-versus-decentralize question in carbon terms. The carbon-minimizing network is more dispersed when a dollar of last-mile delivery emits more than the facility threshold, which pooling shifts from $r_F$ toward $r_h$. Pooling therefore enters as a weight on the holding ratio: when holding is more carbon-intensive per dollar than facilities, stronger pooling raises the threshold for dispersion, and otherwise it lowers it.

### 4.4 What happens when both decisions adjust?

When both decisions adjust, complementarity links them (Lemma 4.1). We use

$$R_{\text{speed}} = \frac{r_h}{r_t}, \qquad R_{\text{density}} = \frac{r_L}{r_F}$$

to denote the two diagnostic ratios, $(n_K, v_K)$ and $(n_C, v_C)$ the cost- and carbon-minimizing configurations, $\hat{v}_C$ the carbon-minimizing speed at the cost-minimizing density $n_K$, and $a_K = a(n_K, v_K)$ the safety-stock share at the cost minimum. Two quantities of the cost-minimizing network enter. The first is the *pooling weight*

$$\omega = \frac{h\,G(n_K, v_K)}{F + h\,G(n_K, v_K)} = 1 - \Big(\frac{n_K}{n_K^0}\Big)^{3/2}, \qquad n_K^0 = \Big(\frac{t_L N \mu \delta}{2F}\Big)^{2/3}, \tag{18}$$

the share of the marginal cost of a DC that is lost pooling. Since $n_K^0$ is the density the firm would choose if pooling were absent, $\omega$ measures how far pooling holds the network below that size. The second, for interior $n_K$, is the pair of *speed bands*

$$\underline{R} = \sqrt{\Psi(n_K)/N} \;<\; 1 \;<\; \overline{R} = \sqrt{\Psi(n_K)/\Psi(1)}, \tag{19}$$

which bound how far a change in density can move the carbon-minimizing speed.

**Proposition 4.4** (Joint design)**.** *Suppose that $\rho < 1$ and that the cost-minimizing density $n_K$ is interior.*

(i) Density. *The carbon-minimizing network is more dispersed than the cost-minimizing one, $n_C > n_K$, if and only if*

$$r_L \;>\; (1-\omega)\, r_F \;+\; \omega\, r_h \sqrt{v_K/\hat{v}_C}, \tag{20}$$

*with $n_C = n_K$ at equality and $n_C < n_K$ when the inequality is reversed. Under the quadratic specification, and when $v_K$ and $\hat{v}_C$ are interior,* (20) *becomes*

$$r_L \;>\; (1-\omega)\, r_F \;+\; \omega\, r_h^{4/5}\, r_t^{1/5}\, a_K^{-1/5}. \tag{21}$$

(ii) Speed. *Under the quadratic specification, and when the speed responses of the cost and the carbon objective are interior at $n_K$ and at $n_C$, the carbon-minimizing speed satisfies*

$$\ln \frac{v_C}{v_K} = \frac{2}{5} \ln \left( a_K R_{\text{speed}} \right) + \frac{1}{5} \ln \frac{\Psi(n_C)}{\Psi(n_K)}, \tag{22}$$

*so that $v_C > v_K$ if and only if $a_K R_{\text{speed}} > \sqrt{\Psi(n_K)/\Psi(n_C)}$. If* (21) *holds and $a_K R_{\text{speed}} \geq 1$, the carbon-minimizing design is faster and more dispersed; if* (21) *is reversed and $a_K R_{\text{speed}} \leq 1$, it is slower and more consolidated. Whatever the density, it is faster if $a_K R_{\text{speed}} > \overline{R}$ and slower if $a_K R_{\text{speed}} < \underline{R}$; only between the bands, with the two conditions pointing in opposite directions, does the size of the density change decide.*

(iii) Magnitudes without pooling. *Under the quadratic specification, in the no-pooling limit ($\rho \to 1$), $\omega = 0$, the two decisions separate, and for interior optima*

$$\frac{n_C}{n_K} = R_{\text{density}}^{2/3}, \qquad \frac{v_C}{v_K} = \left( a_K R_{\text{speed}} \right)^{2/5}.$$

For a given product, Proposition 4.4 compares the design that minimizes carbon with the one that minimizes cost, and so tells the firm in which direction a deep carbon target moves each decision; the response to a small carbon price need not move the same way (Section 4.5). The density condition (20) is Proposition 4.3 with one change. Adding a DC incurs a facility charge and lost pooling, in the proportions $1-\omega$ and $\omega$ of its marginal cost. The carbon-minimizing firm replenishes its DCs at its own speed $\hat{v}_C$, and safety stock falls with the square root of speed, so per dollar of lost pooling its carbon is $r_h \sqrt{v_K/\hat{v}_C}$. When the speeds are interior, the carbon-minimizing firm limits the safety stock that an additional DC adds by replenishing faster, so the DC raises inbound freight carbon as well as holding carbon (21). Unlike the marginal comparisons, the joint design therefore lets the carbon intensity of inbound freight bear on how many DCs to operate. The effect is scaled by the pooling weight, and it vanishes where the carbon-minimizing speed stays at a bound. Financing stock in transit raises the cost-minimizing speed, and with it the carbon of lost pooling, so it raises the threshold for dispersion.

The speed decomposition (22) separates the two reasons a carbon-minimizing firm replenishes at a different speed. The intensity effect, $\frac{2}{5} \ln(a_K R_{\text{speed}})$, is the comparison of Proposition 4.2. The density effect, $\frac{1}{5} \ln[\Psi(n_C)/\Psi(n_K)]$, is complementarity: a more dispersed network holds more safety stock and so values speed more. The bands (19) bound the density effect, because no network pools more than full consolidation or less than full dispersion.

Part (iii) gives the size of the redesign. Without pooling and with both optima interior, a product whose last mile is four times as carbon-intensive per dollar as its facilities runs $4^{2/3} \approx 2.5$ times as many DCs when minimizing carbon. As we show in the proof of part (iii), the carbon that the cost-minimizing design leaves unabated is, to second order,

$$\frac{C(n_K, v_K)}{C_{\min}} - 1 \;\approx\; \theta \, \frac{(\ln R_{\text{density}})^2}{9} + \theta_a \, \frac{2\left[ \ln(a_K R_{\text{speed}}) \right]^2}{25}, \tag{23}$$

where $C_{\min}$ is the carbon minimum and $\theta$ and $\theta_a$ are the shares in that minimum of proximity carbon, $\varphi n + \varepsilon_L N \mu d(n)$, and of availability carbon, $\eta \mathrm{SS} + \varepsilon_0 v^2 N \mu D$; the two shares fall short of one by the share of carbon that varies with neither decision. The excess is small near parity and rises quickly away from it: the cost-minimizing network emits about 5% more proximity carbon than the minimum when $R_{\text{density}} = 2$ and about 19% more when $R_{\text{density}} = 4$, against 5% and 21% from (23). Carbon-aware redesign therefore matters most for products whose ratios lie far from one. With pooling these expressions are not exact; Section 5 illustrates the magnitudes.

### 4.5 How does the design move as the carbon price rises?

A firm facing a rising carbon price also needs to know how the design moves along the way. For an activity with carbon intensity per dollar $r_x$, we use $s_x(\tau) = \tau r_x/(1 + \tau r_x)$ to describe the *carbon share* of its blended rate — for holding, $s_h = \tau\eta/(h + \tau\eta)$. The share rises from zero to one as the price rises.

**Proposition 4.5** (Carbon-price path)**.** *Under the quadratic specification:* (i) *at a fixed density and an interior speed response,* $\mathrm{d}\ln v^*/\mathrm{d}\ln\tau = (a_\tau s_h - s_t)/(3 - a_\tau/2)$*, where* $a_\tau = H_\tau \mathrm{SS}/(H_\tau \mathrm{SS} + 2h_p P)$ *at the optimum; its sign is that of* $a(n, v^*)\, r_h - r_t$*, so the speed moves monotonically in* $\tau$*, and without financing the elasticity is* $\frac{2}{5}(s_h - s_t)$*;* (ii) *in the no-pooling limit and for an interior density,* $\mathrm{d}\ln n^*/\mathrm{d}\ln\tau = \frac{2}{3}(s_L - s_F)$*;* (iii) *without financing, with pooling, and with the speed response interior at every density and price, if* $r_L$ *exceeds each of* $r_F$*,* $r_h$*, and* $r_t$*, the optimal density* $n^*(\tau)$ *is nondecreasing along the whole price path, and if* $r_L$ *falls short of each, it is nonincreasing.*

By part (i), for a given network, a rising carbon price speeds replenishment exactly when the inventory saving from speed is more carbon-intensive per dollar than inbound freight, and the speed moves in one direction along the whole path. The response is gradual: at a low price both shares are near zero and speed barely moves, while at a high price both approach one and speed settles at its carbon-minimizing level. The speed moves most where the carbon shares of holding and inbound freight differ most, as when the speed the firm buys is fuel-intensive and its held stock carries little carbon. By part (iii), without financing and with interior speeds, a rising carbon price never favors consolidation when the last mile is the most carbon-intensive of the four activities per dollar, and never favors dispersion when it is the least.

Proposition 4.4 compares the two ends of the price path, and the first response to a carbon price can differ. We show in Appendix A that, under the quadratic specification and with the cost-minimizing design interior, $\mathrm{d}n^*/\mathrm{d}\tau$ at $\tau = 0$ is positive if and only if

$$r_L \;>\; (1 - \omega)\, r_F + \omega\Big[r_h - \frac{a_K r_h - r_t}{6 - a_K}\Big]. \tag{24}$$

At a low price, the firm offsets part of the safety stock an additional DC adds through the faster replenishment that minimizes cost, so the carbon of lost pooling includes that response's freight carbon in proportion to its cost. Without financing the bracket is $\frac{4}{5}r_h + \frac{1}{5}r_t$, an arithmetic mean

of the two ratios, whereas (21) weighs them geometrically, $r_h^{4/5} r_t^{1/5}$, and the geometric mean is the smaller; when $r_L$ lies between the two thresholds, a small carbon price then first consolidates the network, although the carbon-minimizing network is more dispersed than the cost-minimizing one. With financing, the two thresholds can fall in either order, so the first response can also run toward dispersion while the carbon-minimizing network is more consolidated.

### 4.6 What changes under a cap on realized carbon?

A firm held to a carbon budget for each accounting period must meet it with the carbon it actually emits, which fluctuates with demand: facility and safety-stock carbon are planned, but freight carbon scales with realized throughput $Q = \sum_i X_i$, the sum of the realized market demands $X_i$, which has mean $N\mu$ and variance $\sigma_Q^2 = \sigma^2 N\,[\,1 + (N-1)\rho\,]$. Realized carbon is then

$$\tilde{C}(n, v) \;=\; \varphi n + \eta\,\mathrm{SS}(n, v) + \big[\varepsilon(v) D + \varepsilon_L d(n)\big]\, Q, \tag{25}$$

and a firm that requires realized carbon to stay within $B$ with confidence $1 - \beta_c$ imposes the chance constraint $\Pr\{\tilde{C}(n, v) \le B\} \ge 1 - \beta_c$, the carbon counterpart of the cycle service level $\alpha$.

**Corollary 4.6** (Caps on realized carbon)**.** (i) *The chance constraint is equivalent to*

$$\varphi n + \eta\,\mathrm{SS}(n, v) + m\big[\varepsilon(v) N\mu D + \varepsilon_L N\mu\, d(n)\big] \;\le\; B, \tag{26}$$

*the carbon function* (7) *with the transport component scaled by* $m = q_{1-\beta_c}/(N\mu)$*, where* $q_{1-\beta_c}$ *is the lower* $(1 - \beta_c)$ *quantile of realized throughput. Under the normal approximation,* $m = 1 + z_{\beta_c}\,\mathrm{CV}_Q$*, with* $z_{\beta_c} = \Phi^{-1}(1 - \beta_c)$ *and* $\mathrm{CV}_Q = \sigma_Q/(N\mu)$*, so* $m \ge 1$ *whenever* $\beta_c \le \frac{1}{2}$*, and, for* $\beta_c < \frac{1}{2}$*,* $m$ *rises with the demand coefficient of variation* $\sigma/\mu$*, the correlation* $\rho$*, and the confidence* $1 - \beta_c$*.*

(ii) *The thresholds of Propositions 4.2–4.4 hold with the inbound and last-mile carbon rates multiplied by* $m$*. Under the quadratic specification, the carbon-minimizing speed is nonincreasing in* $m$*, and strictly decreasing where* $n_C$ *and* $v_C$ *are interior.*

A cap on realized carbon therefore leaves the structure intact. It places a risk margin on transport emissions, just as safety stock places one on demand, and so reinforces slower replenishment; the expected-value cap is the limiting case $m = 1$. Over $T$ periods with independent demands, throughput has coefficient of variation $\mathrm{CV}_Q/\sqrt{T}$, so the margin shrinks with the horizon: in the calibrated network of Section 5, the 95% multiplier falls from $m = 1.37$ for a weekly cap to $m = 1.05$ for an annual cap.

## 5 A Calibrated Application

This section illustrates the results with distribution activities measured from public US data. Section 5.1 constructs benchmark carbon intensities per dollar from public data, Section 5.2 traces how a reference network meets a carbon target, and Section 5.3 examines how carbon intensities and

operating conditions change the abatement strategy. The directions follow from the propositions once the ratios are known, subject to the bounds on speed.

### 5.1 Benchmark carbon intensities

Each ratio is the carbon an activity emits per dollar it costs. We construct the ratios from energy use, emission factors, operating costs, and storage benchmarks. A dollar spent on energy carries about 2.8 kg $CO_2$ as diesel, 2.9–4.6 kg $CO_2$e as grid electricity, and 5.0–5.8 kg $CO_2$ as marine fuel, while the labor and capital that make up the rest of logistics cost carry little carbon of their own. An activity's carbon intensity per dollar therefore rises with the share of its cost spent on energy.

Public data report the energy of a whole warehouse, whereas the model separates a facility's baseline energy, $\varphi$, from the increment that varies with the inventory held, $\eta$. We split building energy by a share $\beta$ that varies with inventory, and the storage charge of a third-party warehouse by a share $\gamma$ that is variable for an owned facility; we take $\beta = \gamma = \frac{1}{2}$. The two shares divide one building's energy and cost between facility and holding. We split a DC's operating cost into the fixed charge $F$ and handling $c$ per pallet, and we count as its carbon the site energy of its building, leaving out embodied carbon, so $r_F = \varphi/F$. Storage emissions per pallet depend only on the storage environment. We treat site energy as electricity and so overstate carbon for buildings partly heated by gas. Table 2 reports the ratios.[2]

Without spoilage, holding carries less carbon per dollar than a DC, because its cost is mostly the capital tied up in stock and the space and labor to store it, and the ratio falls with value density. Speed bought with fuel — a faster vessel, truck instead of intermodal rail, air instead of truck — is the most carbon-intensive, because the added cost is mostly fuel. A team of two drivers runs the same truck about twice as far per day, so the speed it buys adds mostly wages and little carbon.

[2]Sourced inputs. Emission factors: diesel 10.21 kg $CO_2$ per gallon and the US grid 0.371 kg $CO_2$e per kWh (U.S. Environmental Protection Agency 2022); truckload 1.52 kg $CO_2$ per mile, the midpoint of the middle fifth of dry-van fleets in the SmartWay program (U.S. Environmental Protection Agency 2024a); marine fuel 3.114 t $CO_2$ per metric ton (European Commission 2016). Prices: diesel \$3.66 per gallon (2025 average) (U.S. Energy Information Administration 2026), electricity 8.1–12.8 cents per kWh (U.S. Energy Information Administration 2025), and marine fuel at average prices of \$535 (2025) and \$626 (2024) per metric ton (Ship & Bunker 2026). Warehouses: site energy of 22.7 (ambient) and 84.1 (refrigerated) kBtu per square foot (U.S. Environmental Protection Agency 2024c); industrial rent of \$10.12 per square foot (Cushman & Wakefield 2025). Line haul: truckload at \$2.26 per mile, of which fuel is \$0.48 (American Transportation Research Institute 2025). Last mile: the courier and local-trucking industry factors (U.S. Environmental Protection Agency 2024b) and electric-van energy use of 0.37–0.39 kWh per mile (Mulholland 2022). Food: input–output intensities of processed beef, fluid milk, and poultry (U.S. Environmental Protection Agency 2024b). Derived storage benchmarks. Refrigerated storage uses 109 kg $CO_2$e per pallet position-year: Lineage's 1.068 million metric tons of 2024 Scope 1 and market-based Scope 2 emissions (Lineage, Inc. 2025), divided by its 9.8 million pallet positions in March 2024 (Lineage, Inc. 2024). This company-wide ratio includes mobile combustion and refrigerants. The ambient 30 kg scales 109 by the energy-intensity ratio 22.7/84.1. Assumptions. Third-party storage at \$240 (ambient) and \$480 (refrigerated) per pallet-year; rent at about 40% of a DC's operating cost, with cold-storage rent twice ambient, and a fixed charge of 60% (50 to 70%) of that cost; capital at 10% of pallet value (15% for high-value goods), for stock held and stock in transit; intermodal 10–30% cheaper than truckload with about 60% less carbon per load; a team premium of about \$0.35 per mile, carrying about 0.03 kg $CO_2$e per dollar, at twice the daily distance of a solo driver; air at four to five times the cost of road; battery-electric trucks at about 1.2 kWh per mile on the last mile and 2.0 kWh per mile in line haul; DCs of 120,000 square feet; truckloads of 26 pallets; pallet values of \$1,500 (ambient packaged goods), \$20,000 (high-value goods), and \$1,250 (dairy); and the allocation shares $\beta$ and $\gamma$. Ranges combine the low and high values of every input.

Table 2: Benchmark carbon intensity per dollar of distribution activities, kg $CO_2$e per US dollar, with ranges over the stated inputs and allocation shares.

| Ratio | Activity | Central | Range |
|---|---|---|---|
| Holding, $r_h$ | Ambient packaged goods | 0.056 | 0.007–0.32 |
| | High-value goods | 0.005 | 0.000–0.036 |
| | Refrigerated dairy | 0.149 | 0.021–0.62 |
| | Refrigerated dairy, spoilage 0.5% per week | 0.457 | 0.20–0.73 |
| Line-haul speed, $r_t$ | Faster vessel speed | 5.37 | 4.97–5.82 |
| | Truck instead of intermodal rail | 2.02 | 1.35–4.04 |
| | Air instead of truck | 1.10 | 0.60–1.90 |
| | Team instead of solo drivers | 0.03 | 0.00–0.10 |
| Last mile, $r_L$ | Diesel local truck | 0.50 | 0.30–0.60 |
| | Diesel van | 0.30 | 0.15–0.45 |
| | Electric truck | 0.16 | 0.12–0.20 |
| | Electric van | 0.075 | 0.05–0.10 |
| Facilities, $r_F$ | Ambient DC | 0.082 | 0.021–0.22 |
| | Refrigerated DC | 0.152 | 0.039–0.41 |

Spoilage changes the holding ratio of perishables: food that spoils while held carries the carbon of its production, which we value at the input–output intensity of the food. Even processed beef, the most carbon-intensive food we examine at 1.12 kg per dollar, stays below the ratios of truck instead of intermodal rail and of vessel speed; only against air freight could spoilage favor speed.

### 5.2 Meeting a carbon target in a reference network

We calibrate the model to a distributor that replenishes stores in forty metropolitan markets with ambient goods worth $20,000 a pallet, a value per pallet in the range of electronics and pharmaceuticals (U.S. Federal Highway Administration and Bureau of Transportation Statistics 2023), and that owns the goods while they travel. Table 3 maps each input of the model to its counterpart in this network. Door to door on a 1,000-mile lane, truckload takes about two days, since a solo driver covers about 500 miles a day (Federal Railroad Administration 2013); intermodal rail takes about four, of which three are from ramp to ramp and the rest local trucking at each end; and carload rail takes six days or more (Kwon et al. 1995). We fit $t(v)$ and $\varepsilon(v)$ through intermodal and truckload and extend them to a six-day transit, at which the fitted carbon per pallet-mile is 29% of truckload's, close to the fuel efficiency of carload moves relative to truck on competing corridors (ICF International 2009). We treat the fitted curves as the lane's service frontier, so the firm can replenish at any speed between 167 and 500 miles a day; we interpret a transit of about two days as truckload, four as intermodal, and six as carload rail, and we examine in Section 5.3 a lane that offers only these three services. The fitted carbon rate has an intercept, $\varepsilon_b = 0.012$ kg per pallet-mile, that accounts for 19% of carbon at the cost minimum; it does not change the design at a given price, but it enters the percentage cuts.

At the cost minimum, with the number of DCs treated as continuous, the network operates

Table 3: Inputs of the reference network.

| Input | Model | Reference network |
|---|---|---|
| Markets and demand | $N$; $\mu$, $\sigma$; $\rho$ | 40 markets; 250 pallets a week each, coefficient of variation 0.40; correlation 0.30 |
| Service | $z$ | 95% cycle service ($z = 1.645$) |
| Distances | $D$; $\delta$ | 1,000 miles inbound; $d(n) = 700\, n^{-1/2}$ miles to the markets |
| Line haul | $v$; $t(v)$; $\varepsilon(v)$ | 167 (carload rail) to 500 (truckload) miles a day, through intermodal at 250; \$0.066 to \$0.087 and 0.017 to 0.059 kg per pallet-mile |
| Last mile | $t_L$; $\varepsilon_L$ | diesel truck to stores, \$2.75 per loaded mile with 20 pallets a load; $r_L = 0.50$ |
| DC | $F$; $c$; $\varphi$ | \$1.8 million a year per site and \$12.60 per pallet handled, or \$3.0 million for a DC of the reference size; 148 t a year |
| Holding | $h$; $\eta$ | \$3,120 and 15 kg per pallet-year |
| Stock in transit | $h_p$ | \$3,000 per pallet-year, 15% of the value of the goods |

5.4 DCs and ships in 2.55 days, between truckload and intermodal, because financing makes speed valuable: the stock in transit, 3,647 pallets, exceeds the safety stock, 2,498, so the safety-stock share is $a_K = 0.26$. The pooling weight is $\omega = 0.09$. Holding emits 0.005 kg per dollar and the speed that truckload buys over intermodal 2.02, so a carbon price favors slower replenishment (Proposition 4.2). Diesel delivery emits 0.50 kg per dollar, above the threshold of 0.076 in Proposition 4.4(i) and the low-price threshold of 0.11 in (24), so a carbon price favors more DCs from its first increase.

Two features of the reference network account for the size of the cuts that follow. First, the slower end of the speed range corresponds to rail services, which emit 60 to 71% less per load than truckload, so the fitted carbon rate falls steeply as the line haul slows. Second, transport accounts for 97.4% of the network's logistics carbon, 64.5% on the inbound lane and 32.9% on the last mile, and warehousing for 2.6%.

Figure 2 shows how annual cost and carbon change when one decision moves away from the cost-minimizing design and the other is held there. More DCs shorten the last-mile legs but add facility cost and carbon and weaken pooling. At fifteen DCs, carbon is 8.7% lower and cost 10.4% higher. Slowing the line haul lowers freight cost and carbon but adds safety stock and stock in transit, which raise cost and add little carbon. At intermodal's four days, carbon is 27.1% lower and cost 3.9% higher; at six days, 37.5% lower and 13.2% higher. We next ask how the firm combines the two decisions to meet a required cut at least cost.

Figure 3 traces the cost of the least-cost design as the required cut in emissions grows, for three sets of actions: changing replenishment alone, changing the number of DCs alone, and changing both. Slower line haul delivers most of each cut. At a 20% cut, the least-cost design slows the line haul from 2.55 to 3.30 days and grows the network from 5.4 to 6.2 DCs, at a cost increase of 1.5%; lower inbound freight carbon accounts for 92% of the reduction and shorter last-mile legs for 10%, while added facility carbon takes back 2%. Slowing alone raises cost by 1.6% for the same cut, against 1.5% when both decisions change, and it reaches less far: slowing alone attains at most a 37.5% cut and adding DCs alone 9.1%, whereas changing both attains 46.6%, the carbon minimum,

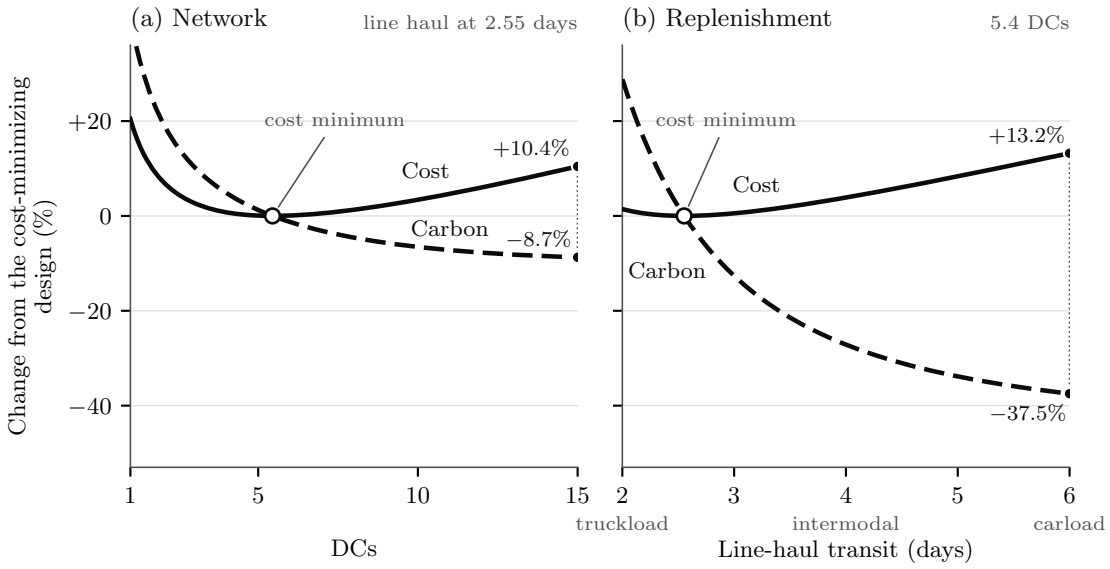



Figure 2: Annual cost and carbon of the reference network when one decision moves and the other stays at the cost-minimizing design, which costs \$97.3 million and emits 32,660 t a year.

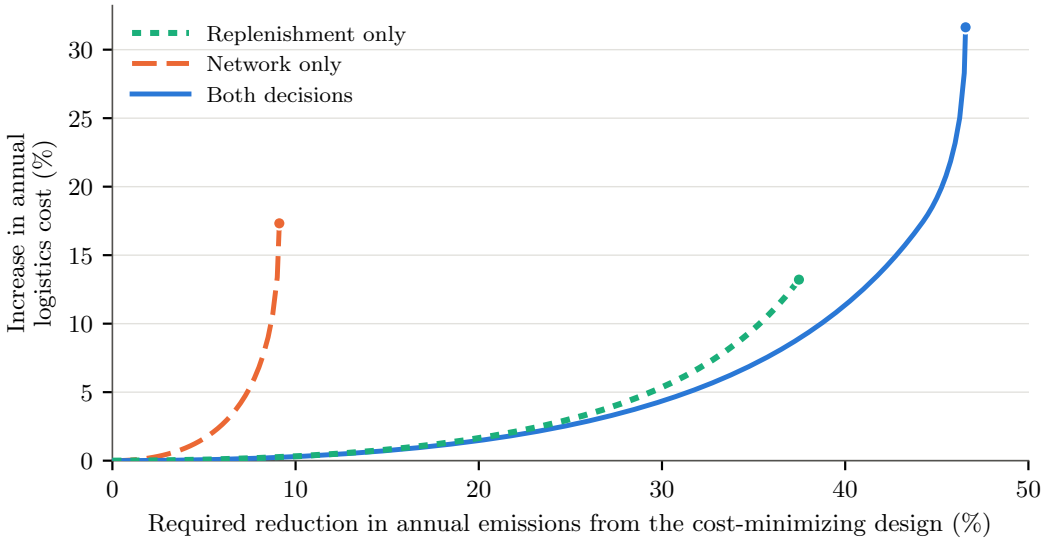



Figure 3: Cost increase of the least-cost design of the reference network for each required cut in emissions, for three sets of actions. Each curve ends at the largest cut that its actions attain.

with 19.2 DCs and a six-day line haul. Each cut corresponds to a carbon price (Lemma 4.1). A 20% cut costs \$218 per metric ton avoided on average and corresponds to a price of \$542 per metric ton; both values reflect the two design decisions alone, with fuel, vehicles, and load fill held fixed. A price of \$100 per metric ton lowers emissions by 5.8%, almost all through slower line haul, at a cost increase of 0.1%, and the average metric ton avoided costs \$48, less than the price.

Table 4: Least-cost designs for a cut of at least 20% under alternative carbon parameters and operating conditions. Days are line-haul transit times.

| | Cost minimum | | Least cost for at least 20% cut | | |
|---|---|---|---|---|---|
| | DCs | Days | DCs | Days | Cost increase |
| Reference | 5.4 | 2.55 | 6.2 | 3.30 | 1.5% |
| *Line-haul carbon* | | | | | |
| Efficient diesel truck, 1.34 kg per mile | 5.4 | 2.55 | 6.6 | 3.44 | 2.1% |
| Electric truck, 2.0 kWh per mile | 5.4 | 2.55 | not attainable; largest cut 18.9% | | |
| Intermodal 45% below truckload | 5.4 | 2.55 | 7.1 | 3.72 | 3.4% |
| Intermodal 70% below truckload | 5.4 | 2.55 | 5.9 | 3.13 | 0.9% |
| *Last-mile and warehouse carbon* | | | | | |
| Electric last-mile trucks, $r_L = 0.16$ | 5.4 | 2.55 | 5.5 | 3.14 | 0.9% |
| Warehouse carbon halved | 5.4 | 2.55 | 6.2 | 3.26 | 1.4% |
| Warehouse carbon doubled | 5.4 | 2.55 | 6.1 | 3.36 | 1.6% |
| *Storage and financing* | | | | | |
| Capital charge 10% | 5.5 | 2.93 | 6.5 | 3.97 | 1.7% |
| Capital charge 25% | 5.3 | 2.14 | 5.8 | 2.65 | 1.3% |
| Pallet value \$10,000 | 5.6 | 3.24 | 6.7 | 4.56 | 2.0% |
| Pallet value \$50,000 | 5.1 | 2.00 | 5.8 | 2.43 | 2.1% |
| Refrigerated storage | 3.5 | 2.55 | 4.0 | 3.45 | 1.7% |
| No financing of stock in transit | 5.4 | 4.36 | 9.8 | 6.00 | 4.8% |
| *Implementation and carbon accounting* | | | | | |
| Whole number of DCs | 5 | 2.56 | 6 | 3.26 | 1.2% |
| Truckload, intermodal, or carload only | 5.5 | 2.00 | 5.4 | 4.00 | 2.4% |
| Annual cap on realized carbon, 95% | 5.4 | 2.55 | 6.5 | 3.51 | 2.3% |
| Weekly cap on realized carbon, 95% | 5.4 | 2.55 | 9.2 | 5.16 | 11.9% |

### 5.3 Carbon intensities and abatement strategy

Table 4 shows how carbon parameters change the least-cost combination of replenishment and network adjustment. In the carbon-parameter and realized-carbon rows, cost rates and demand stay fixed, so the cost-minimizing design remains at 5.4 DCs and 2.55 days. Each target is a 20% cut from that row's own cost-minimizing emissions; the caps on realized carbon use the reference row's budget.

**Line-haul carbon.** When intermodal's emission advantage falls from 70% to 45%, the firm must adjust both decisions further to meet its percentage target: the design moves from 5.9 DCs and 3.13 days to 7.1 DCs and 3.72 days. Here, network adjustment becomes more valuable. At the smaller advantage, slowing alone costs 4.6% more, against 3.4% for joint adjustment; at the larger advantage the comparison is 1.0% against 0.9%. Last-mile savings account for 19% of the net cut in the former case and 7% in the latter, with added facility and holding carbon offsetting part of the transport savings.

A cleaner truck also reduces the carbon saved by slowing. With an efficient diesel truck, the least-cost design for the target has 6.6 DCs and 3.44 days, at a cost increase of 2.1%. With electric

line haul, the largest additional cut is 18.9%, but this is measured from a lower baseline: the cost-minimizing design emits 25,091 t a year, 23.2% below the reference, and already meets the original reference's 20% target.

**Last-mile and warehouse carbon.** In this network, cleaner delivery reduces the value of adding DCs. At $r_L = 0.16$, the 20% target uses 5.5 DCs and 3.14 days, and both joint adjustment and slowing alone cost about 0.9% more. Halving or doubling warehouse carbon gives designs for the target of 6.2 DCs and 3.26 days or 6.1 DCs and 3.36 days, at 1.4% or 1.6%; its limited influence here reflects warehousing's 2.6% share of reference emissions.

Holding all other inputs fixed, we set $r_L = 0.09$, above the electric van's central ratio in Table 2 but within its range, and between the joint threshold 0.0757 in (20) and the low-price threshold 0.1062 in (24). Density initially falls: at \$100 per metric ton it is 5.445, against 5.450 at the cost minimum, although the carbon minimum has 6.115 DCs. This illustrates the change of direction established in Section 4.5; the initial movement is small, and the whole-DC designs at zero and \$100 both have five DCs.

**Storage and financing.** Capital charges, pallet value, and refrigerated storage change dollar costs and hence the starting design. Capital charges and pallet values move the cost minimum along the speed range, while its network stays between 5.1 and 5.6 DCs. Higher charges and values make it faster: at a 25% charge it ships in 2.14 days, and the target takes 5.8 DCs and 2.65 days, at 1.3%; at \$50,000 a pallet it ships by truckload, and the target takes 5.8 DCs and 2.43 days, at 2.1%. Lower ones make it slower, 2.93 days at a 10% charge and 3.24 days at \$10,000 a pallet, and the target takes 6.5 DCs and 3.97 days, at 1.7%, and 6.7 DCs and 4.56 days, at 2.0%. Refrigerated storage raises facility cost, so the cost minimum has 3.5 DCs, at 2.55 days, and the target takes 4.0 DCs and 3.45 days, at 1.7%. Without transit financing, the cost minimum keeps 5.4 DCs but already ships in 4.36 days, so the target requires six days and 9.8 DCs, at a cost increase of 4.8%.

**Implementation and carbon accounting.** With whole DCs, the cost minimum has five DCs and 2.56 days, and the design for the target adds one DC, with 3.26 days, at a cost increase of 1.2%. With only three freight services, the design switches from truckload to intermodal, overshooting the target with a 43% cut at 2.4% more cost; density falls slightly from 5.5 to 5.4. In the reference network, the availability of intermediate services thus affects both the cut obtained and the accompanying network adjustment.

Finally, at the reference budget and with demand independent across weeks, a 95% cap on realized carbon requires a deeper expected cut: 23.8% for an annual cap, with 6.5 DCs and 3.51 days, at a cost increase of 2.3%, and 40.5% for a weekly cap, with 9.2 DCs and 5.16 days, at 11.9%.

Table 5: Carbon-minimizing direction of the two decisions (Proposition 4.4), with examples from Table 2.

| | **More DCs** *last mile more carbon-intensive per dollar than facilities and lost pooling* | **Fewer DCs** *last mile less carbon-intensive per dollar than facilities and lost pooling* |
|---|---|---|
| **Faster replenishment** *inventory saving from speed more carbon-intensive per dollar than the speed it buys* | team drivers for perishables that spoil; diesel delivery | team drivers for perishables that spoil; electric vans |
| **Slower replenishment** *inventory saving from speed less carbon-intensive per dollar than the speed it buys* | speed bought with fuel, or team drivers for high-value goods; diesel delivery | speed bought with fuel for refrigerated goods; electric vans |

# 6 Managerial Implications

In this section, we show how a firm can use its own rates and demand data and its cost-minimizing network to tell which of its distribution decisions a carbon price will move, in which direction, and by how much. Each implication follows from a result of Section 4; the calibrated values of Section 5 illustrate it.

**A diagnostic for both decisions.** When speeds are interior, a firm needs four ratios and two shares. The ratios are the carbon per dollar of holding stock, of the speed it can buy on its line-haul lane, of last-mile delivery, and of operating a DC. Because labor and capital carry little carbon, a firm can estimate the ratios from its fuel, electricity, warehousing, and spoilage records (Section 5.1). The shares are the pooling weight $\omega$ — the share of a DC's marginal cost that is lost pooling — and the safety-stock share $a_K$ of the inventory that speed saves, and the firm can obtain both from its cost-minimizing network through (18) and (8). Proposition 4.4 then gives the direction of both decisions, and Table 5 sets out the four combinations; off the diagonal, the speed direction shown holds whenever $a_K R_{\text{speed}}$ lies outside the bands (19).

**Slow the speed bought with fuel; buy speed with labor where held stock carries carbon.** A faster vessel, truck instead of intermodal rail, and air instead of truck add cost that is mostly fuel, so their carbon per dollar is many times that of holding stock (Table 2). By Proposition 4.2, a carbon price then favors slower replenishment, and financing the goods in transit strengthens that direction because it lowers the share $a_K$. In the reference network, slower line haul delivers 92% of a 20% cut in emissions (Section 5.2). The shifts of pharmaceutical freight from air to ocean and of truckload lanes to intermodal rail are consistent with this direction (Pharmaceutical Commerce 2023; FreightWaves 2026), as is the finding of Maloni et al. (2013) that slower vessel speed lowers carbon and total cost despite the added pipeline inventory. The speed a team of drivers buys costs wages and little fuel, so a carbon price favors it wherever held stock carries enough carbon that

the inventory saving from speed is more carbon-intensive per dollar than that speed. Measured by site energy, holding ambient packaged goods emits 0.056 kg per dollar and holding perishables that spoil 0.46, about twice and fifteen times the ratio of team operation (Table 2); on our 1,000-mile lane, however, the cost- and carbon-minimizing speeds of packaged goods and perishables that do not spoil both lie at solo operation, the slower bound, so only perishables that spoil move to team drivers; for high-value goods, whose holding cost is mostly capital, a carbon price favors a solo driver. A team shortens lead time only where a trip exceeds the distance one driver may cover in a day, so speed bought with labor matters most on long lanes.

**Reassess network density when delivery technology changes.** The density decision compares the carbon per dollar of last-mile delivery with that of a DC's facility and lost pooling (Propositions 4.3 and 4.4). Diesel delivery, by truck or van, is carbon-intensive enough per dollar that a carbon price favors more DCs closer to demand. At the central ratios of Table 2, so is an electric truck: it emits 0.16 kg per dollar against 0.082 for an ambient DC. An electric van emits about as much per dollar as an ambient DC, so for ambient goods the comparison is close to parity; it emits half as much as a refrigerated DC, so for cold chains a carbon price favors fewer, larger DCs. In the reference network, we find that a 20% cut takes 5.5 DCs with electric trucks against 6.2 with diesel trucks (Table 4). Amazon reports that placing inventory closer to customers avoided 127 million vehicle miles in 2025 (Amazon.com, Inc. 2026), a move in the direction Proposition 4.4 gives when the last mile is carbon-intensive. A firm that electrifies its last mile should therefore revisit how many DCs it operates. In the reference network, the less carbon slowing saves, the more DCs a 20% cut uses: 7.1 when intermodal emits 45% less than truckload and 5.9 when it emits 70% less (Table 4).

**Expect modest moves at current carbon prices.** By Proposition 4.5, the response to a carbon price depends on the carbon share of each activity's cost, carbon charge included. At \$100 per metric ton, carbon is under 1% of the cost of holding ambient goods and of operating facilities, 5% of the cost of diesel truck delivery, 17% of the added cost of truckload over intermodal rail, and 35% of that of a faster vessel; it reaches half of the cost of diesel truck delivery only at about \$2,000 per metric ton. In the reference network a price of \$100 per metric ton cuts emissions by about 6%, almost entirely through slower line haul, for about 0.1% more cost, and a 20% cut, which corresponds to a price of \$542 per metric ton, grows the network from 5.4 to 6.2 DCs (Section 5.2). We note in Section 4.5 that the first response of density can run opposite to the carbon-minimizing direction; in the reference network it does not, because diesel delivery exceeds both thresholds. Because the two decisions are complements (Lemma 4.1), a firm that changes one alone, as in a slow-steaming mandate or a consolidation drive, judges it at a level of the other that the joint design would change.

**Account for realized carbon over short horizons.** A cap on realized carbon places a risk margin on transport emissions (Corollary 4.6). For a weekly cap held with 95% confidence, the

margin raises the transport carbon rates by 37% in our calibration, and for an annual cap by about 5%. In the reference network, a weekly cap at the expected budget raises the cost of a 20% cut from 1.5 to 11.9%, and an annual cap to 2.3% (Table 4).

**Implications for policy.** An instrument that prices transport carbon alone, such as a freight fuel levy, blends the carbon price into the transport rates and leaves holding and facility carbon unpriced. At a given density it therefore slows replenishment, and at a given speed it adds DCs, whatever the product. By Propositions 4.2 and 4.3, these moves raise total carbon, at least for small prices, when the inventory saving from speed is more carbon-intensive per dollar than the speed it would buy, or when the last mile is less carbon-intensive per dollar than facilities and lost pooling; when both decisions adjust, the effect depends on their joint response. By the ratios of Table 2, the first condition holds for perishables that spoil served by team drivers and the second for electric vans in cold chains. An instrument that prices total logistics carbon lets the firm weigh all four activities when it chooses speed and density.

# 7 Discussion and Conclusion

A firm that distributes through regional DCs provides availability through safety stock or replenishment speed and proximity through facilities or last-mile travel, and a carbon price or cap can change which activity provides each. We have shown that the joint design has a unique optimum at every carbon price and that the carbon-minimizing direction of density, and of speed when the speed and density comparisons agree, follows, when speeds are interior, from four carbon intensities per dollar and two shares of the cost-minimizing design. The classification depends on the product, on how speed is bought, and on how the last mile is driven. Several moves that firms explain by cost, delivery service, and transport miles are consistent with these directions. Our model adds the carbon of the inventory a slower supply chain holds, the financing of the goods it carries, and the link between speed and density.

**Limitations.** The model describes an average, symmetric distribution environment, so its classification serves as a diagnostic for a heterogeneous network. Heterogeneous markets or discrete facility sites replace $d(n) = \delta n^{-1/2}$ with the realized last-mile profile; this can move the density threshold but leaves the comparison between facility and last-mile carbon per dollar intact. The representative inbound distance isolates the proximity effect of adding DCs. If more DCs also mean smaller inbound shipments or lower vehicle fill, those forces favor consolidation and can move a case near the threshold. We charge the financing of goods in transit to the firm that owns them; a firm that buys on delivered terms may still bear that cost through the supplier's price. We treat speed as a continuous index between real options on a lane, and we assume that all inbound volume can use each option; where only part of it can move by rail, slowing reaches a smaller share of emissions. Carload transit times also vary more than intermodal's (Kwon et al. 1995), and the model, which treats transit time as fixed, does not price that variability. A firm that splits volume between modes

faces a mixture of lead times, and our safety-stock expression does not represent such a mixture. The model ties last-mile distance to the number of stocking DCs, whereas networks that deliver through cross-docks or hubs separate stocking density from delivery density. Service enters as a cycle-service requirement; if it is chosen, safety stock becomes a further design margin. Finally, we calibrate the carbon intensities to public industry data, so a firm should compute the classification with its own rates, and the magnitudes in Section 5 describe the network we calibrate.

**Future research.** Future research could extend the model to multi-product and multi-echelon settings, where a shared network serves products in different regimes and safety stock can be held at more than one echelon. Separating stocking from delivery density, and modeling shipment consolidation and routing explicitly, would quantify these centralizing forces. As accounting under ISO 14083 makes firm-level logistics-emissions data available (International Organization for Standardization 2023), empirical work can locate real products relative to the speed and density thresholds.

## Data availability

The data and code supporting the numerical illustrations are available from the author on reasonable request.

## References


Amazon.com, Inc. (2023). Second quarter 2023 earnings conference call. August 3, 2023. `https://ir.aboutamazon.com/quarterly-results/default.aspx`, accessed October 2026.

Amazon.com, Inc. (2026). 5 things to know from Amazon's 2025 sustainability report. `https://www.aboutamazon.com/news/sustainability/amazon-sustainability-report-2025`, accessed October 2026.

American Transportation Research Institute (2025). An analysis of the operational costs of trucking: 2025 update. Technical report, American Transportation Research Institute.

Ansari, S., Başdere, M., Li, X., Ouyang, Y., and Smilowitz, K. (2018). Advancements in continuous approximation models for logistics and transportation systems: 1996–2016. *Transportation Research Part B: Methodological*, 107:229–252.

Arıkan, E. and Jammernegg, W. (2014). The single-period inventory model under dual sourcing and product carbon footprint constraint. *International Journal of Production Economics*, 157:15–23.

Baumol, W. J. and Vinod, H. D. (1970). An inventory theoretic model of freight transport demand. *Management Science*, 16(7):413–421.

Bektaş, T. and Laporte, G. (2011). The pollution-routing problem. *Transportation Research Part B: Methodological*, 45(8):1232–1250.

Benjaafar, S., Li, Y., and Daskin, M. (2013). Carbon footprint and the management of supply chains: Insights from simple models. *IEEE Transactions on Automation Science and Engineering*, 10(1):99–116.

Blumenfeld, D. E., Burns, L. D., Diltz, J. D., and Daganzo, C. F. (1985). Analyzing trade-offs between transportation, inventory and production costs on freight networks. *Transportation Research Part B: Methodological*, 19(5):361–380.

Boone, T. and Ganeshan, R. (2025). Freight mode choice with emission caps: Revisiting classical inventory and transportation decisions. *Sustainability*, 17(9):4135.

Bouchery, Y. and Fransoo, J. (2015). Cost, carbon emissions and modal shift in intermodal network design decisions. *International Journal of Production Economics*, 164:388–399.

Bouchery, Y., Ghaffari, A., Jemai, Z., and Dallery, Y. (2012). Including sustainability criteria into inventory models. *European Journal of Operational Research*, 222(2):229–240.

Cachon, G. P. (2014). Retail store density and the cost of greenhouse gas emissions. *Management Science*, 60(8):1907–1925.

Cariou, P. (2011). Is slow steaming a sustainable means of reducing CO2 emissions from container shipping? *Transportation Research Part D: Transport and Environment*, 16(3):260–264.

Chen, X., Benjaafar, S., and Elomri, A. (2013). The carbon-constrained EOQ. *Operations Research Letters*, 41(2):172–179.

Chen, X. and Wang, X. (2016). Effects of carbon emission reduction policies on transportation mode selections with stochastic demand. *Transportation Research Part E: Logistics and Transportation Review*, 90:196–205.

Comas Martí, J. M., Tancrez, J.-S., and Seifert, R. W. (2015). Carbon footprint and responsiveness trade-offs in supply chain network design. *International Journal of Production Economics*, 166:129–142.

Cushman & Wakefield (2025). U.S. industrial MarketBeat, Q2 2025. `https://www.cushmanwakefield.com/en/united-states/news/2025/07/q2-2025-us-industrial-market-report`, accessed October 2026.

Daganzo, C. F. (2005). *Logistics Systems Analysis*. Springer, 4th edition.

Daskin, M. S., Coullard, C. R., and Shen, Z.-J. M. (2002). An inventory-location model: Formulation, solution algorithm and computational results. *Annals of Operations Research*, 110:83–106.

Drent, M., Moradi, P., and Arts, J. (2023). Efficient emission reduction through dynamic supply mode selection. *European Journal of Operational Research*, 311(3):925–941.

Eppen, G. D. (1979). Effects of centralization on expected costs in a multi-location newsboy problem. *Management Science*, 25(5):498–501.

European Commission (2016). Commission Delegated Regulation (EU) 2016/2071 amending Regulation (EU) 2015/757 as regards the methods for monitoring carbon dioxide emissions.

European Environment Agency (2026). EU new Emissions Trading System (ETS2) and Social Cli-

mate Fund: Mechanisms, challenges and conditions for a fair decarbonisation in road transport. Technical report, European Environment Agency. https://www.eea.europa.eu/en/analysis/publications/emissions-reduction-from-transport-in-europe-how-the-ets2-will-help-this-sector-meet-its-climate-targets, accessed October 2026.

European Parliament and Council of the European Union (2023). Directive (EU) 2023/959 amending Directive 2003/87/EC establishing a system for greenhouse gas emission allowance trading within the Union. Official Journal of the European Union.

Federal Railroad Administration (2013). Higher speed freight truck market analysis. Technical Report DOT/FRA/ORD-13/32, U.S. Department of Transportation.

FreightWaves (2026). J.B. Hunt sees 'massive opportunities' amid intermodal shift. https://www.freightwaves.com/news/massive-opportunities-for-j-b-hunt-in-intermodal-shift, accessed October 2026.

Hacardiaux, T., Defryn, C., Tancrez, J.-S., and Verdonck, L. (2022). Balancing partner preferences for logistics costs and carbon footprint in a horizontal cooperation. *OR Spectrum*, 44(1):121–153.

Hacardiaux, T. and Tancrez, J.-S. (2020). Assessing the environmental benefits of horizontal cooperation using a location-inventory model. *Central European Journal of Operations Research*, 28(4):1363–1387.

Hammami, R., Nouira, I., and Frein, Y. (2015). Carbon emissions in a multi-echelon production-inventory model with lead time constraints. *International Journal of Production Economics*, 164:292–307.

Harris, I., Naim, M., Palmer, A., Potter, A., and Mumford, C. (2011). Assessing the impact of cost optimization based on infrastructure modelling on CO2 emissions. *International Journal of Production Economics*, 131(1):313–321.

Hoen, K. M. R., Tan, T., Fransoo, J. C., and van Houtum, G. J. (2014). Effect of carbon emission regulations on transport mode selection under stochastic demand. *Flexible Services and Manufacturing Journal*, 26(1–2):170–195.

Hu, H., Guo, S., and Shu, J. (2025). A location-inventory problem with facility temperature selection and quality deterioration in fresh product supply chain. *Transportation Research Part E: Logistics and Transportation Review*, 197:104044.

Hua, G., Cheng, T. C. E., and Wang, S. (2011). Managing carbon footprints in inventory management. *International Journal of Production Economics*, 132(2):178–185.

ICF International (2009). Comparative evaluation of rail and truck fuel efficiency on competitive corridors. Final report, Federal Railroad Administration, U.S. Department of Transportation.

International Organization for Standardization (2023). ISO 14083:2023 greenhouse gases—quantification and reporting of greenhouse gas emissions arising from transport chain operations. https://www.iso.org/standard/78864.html, accessed October 2026.

Jalal, A., Adulyasak, Y., Jans, R., Morabito, R., and Toso, E. (2026). An integrated location-inventory-transportation problem under demand uncertainty. *Transportation Research Part E:*

*Logistics and Transportation Review*, 213:104990.

Jensen, J. L. W. V. (1906). Sur les fonctions convexes et les inégalités entre les valeurs moyennes. *Acta Mathematica*, 30:175–193.

Koca, E. (2021). Stochastic lot sizing problem with carbon emission constraints. *Gazi University Journal of Science*, 34(1):148–160.

Konur, D. and Schaefer, B. (2014). Integrated inventory control and transportation decisions under carbon emissions regulations: LTL vs. TL carriers. *Transportation Research Part E: Logistics and Transportation Review*, 68:14–38.

Kwon, O. K., Martland, C. D., Sussman, J. M., and Little, P. (1995). Origin-to-destination trip times and reliability of rail freight services in North American railroads. *Transportation Research Record*, 1489:1–8.

Li, S., Li, X., Zhang, D., and Zhou, L. (2017). Joint optimization of distribution network design and two-echelon inventory control with stochastic demand and CO2 emission tax charges. *PLoS ONE*, 12(1):e0168526.

Lineage, Inc. (2024). Prospectus (Form 424B4). U.S. Securities and Exchange Commission. `https://www.sec.gov/Archives/edgar/data/1868159/000119312524185331/d577649d424b4.htm`, accessed October 2026.

Lineage, Inc. (2025). 2024 sustainability report. Technical report, Lineage, Inc. pp. 15, 39. `https://www.onelineage.com/sites/default/files/2025-06/Lineage-2024-Sustainability-Report_6_25_25.pdf`, accessed October 2026.

Maloni, M., Paul, J. A., and Gligor, D. M. (2013). Slow steaming impacts on ocean carriers and shippers. *Maritime Economics & Logistics*, 15(2):151–171.

McKinnon, A. C. and Piecyk, M. I. (2012). Setting targets for reducing carbon emissions from logistics: Current practice and guiding principles. *Carbon Management*, 3(6):629–639.

Miranda, P. A. and Garrido, R. A. (2004). Incorporating inventory control decisions into a strategic distribution network design model with stochastic demand. *Transportation Research Part E: Logistics and Transportation Review*, 40(3):183–207.

Moradi, P., Arts, J., and Velázquez Martínez, J. C. (2025). Load asymptotics and dynamic speed optimization for the greenest path problem: A comprehensive analysis. *OR Spectrum*, 47(2):477–524.

Mulholland, E. (2022). Cost of electric commercial vans and pickup trucks in the United States through 2040. Working Paper 2022-01, International Council on Clean Transportation.

Ni, W. and Shu, J. (2015). Trade-off between service time and carbon emissions for safety stock placement in multi-echelon supply chains. *International Journal of Production Research*, 53(22):6701–6718.

Ouyang, Y. and Daganzo, C. F. (2006). Discretization and validation of the continuum approximation scheme for terminal system design. *Transportation Science*, 40(1):89–98.

Özsen, L., Coullard, C. R., and Daskin, M. S. (2008). Capacitated warehouse location model with risk pooling. *Naval Research Logistics*, 55(4):295–312.

Pharmaceutical Commerce (2023). LogiPharma USA 2023: Sea vs. air—identifying ways to make international cold shipping efficient and sustainable. October 10, 2023. `https://pharmaceuticalcommerce.com/view/logipharma-usa-2023-sea-vs-air-identifying-ways-to-make-international-cold-shipping-efficient-and-sustainable`, accessed October 2026.

Psaraftis, H. N. and Kontovas, C. A. (2013). Speed models for energy-efficient maritime transportation: A taxonomy and survey. *Transportation Research Part C: Emerging Technologies*, 26:331–351.

Psaraftis, H. N. and Kontovas, C. A. (2014). Ship speed optimization: Concepts, models and combined speed-routing scenarios. *Transportation Research Part C: Emerging Technologies*, 44:52–69.

Puttemans, I., Caris, A., and Braekers, K. (2025). The integration of location and inventory decisions in supply chain networks: A literature review and future prospects. *Transportation Research Part E: Logistics and Transportation Review*, 195:103970.

Qi, Y., Harrod, S., Psaraftis, H. N., and Lang, M. (2022). Transport service selection and routing with carbon emissions and inventory costs consideration in the context of the Belt and Road Initiative. *Transportation Research Part E: Logistics and Transportation Review*, 159:102630.

Schaefer, B. and Konur, D. (2015). Economic and environmental considerations in a continuous review inventory control system with integrated transportation decisions. *Transportation Research Part E: Logistics and Transportation Review*, 80:142–165.

Schmitt, A. J., Sun, S. A., Snyder, L. V., and Shen, Z.-J. M. (2015). Centralization versus decentralization: Risk pooling, risk diversification, and supply chain disruptions. *Omega*, 52:201–212.

Sebatjane, M. (2025). Sustainable inventory models under carbon emissions regulations: Taxonomy and literature review. *Computers & Operations Research*, 173:106865.

Shaw, K., Irfan, M., Shankar, R., and Yadav, S. S. (2016). Low carbon chance constrained supply chain network design problem: A Benders decomposition based approach. *Computers & Industrial Engineering*, 98:483–497.

Shen, Z.-J. M., Coullard, C., and Daskin, M. S. (2003). A joint location-inventory model. *Transportation Science*, 37(1):40–55.

Ship & Bunker (2026). Analysis: Average VLSFO bunker prices at key ports fall 20% in 2025. `https://shipandbunker.com/news/world/223373-analysis-average-vlsfo-bunker-prices-at-key-ports-fall-20-in-2025`, accessed October 2026.

Silbermayr, L., Jammernegg, W., and Kischka, P. (2017). Inventory pooling with environmental constraints using copulas. *European Journal of Operational Research*, 263(2):479–492.

Snyder, L. V., Daskin, M. S., and Teo, C.-P. (2007). The stochastic location model with risk pooling. *European Journal of Operational Research*, 179(3):1221–1238.

State of California (2023). Climate Corporate Data Accountability Act (Senate Bill 253). `https://leginfo.legislature.ca.gov/faces/billNavClient.xhtml?bill_id=202320240SB253`,

accessed October 2026.

Straubert, C. (2024). A continuous approximation location-inventory model with exact inventory costs and nonlinear delivery lead time penalties. *International Journal of Production Economics*, 268:109092.

The Home Depot (2020). Supply chain unveils first flatbed distribution center (FDC). Company newsroom, January 28, 2020. https://corporate.homedepot.com/newsroom/supply-chain-unveils-first-flatbed-distribution-center-fdc, accessed October 2026.

Topkis, D. M. (1998). *Supermodularity and Complementarity*. Princeton University Press, Princeton, NJ.

Tsao, Y.-C., Mangotra, D., Lu, J.-C., and Dong, M. (2012). A continuous approximation approach for the integrated facility-inventory allocation problem. *European Journal of Operational Research*, 222(2):216–228.

Turken, N., Carrillo, J., and Verter, V. (2017). Facility location and capacity acquisition under carbon tax and emissions limits: To centralize or to decentralize? *International Journal of Production Economics*, 187:126–141.

U.S. Energy Information Administration (2025). Electric Power Annual. https://www.eia.gov/electricity/annual/, accessed October 2026.

U.S. Energy Information Administration (2026). Weekly Petroleum Status Report. https://www.eia.gov/petroleum/supply/weekly/, accessed October 2026.

U.S. Environmental Protection Agency (2022). Emission factors for greenhouse gas inventories. Technical report, U.S. Environmental Protection Agency, Center for Corporate Climate Leadership. https://www.epa.gov/climateleadership/ghg-emission-factors-hub, accessed October 2026.

U.S. Environmental Protection Agency (2024a). 2024 SmartWay Online Logistics Tool: Technical documentation, U.S. version 1.0 (data year 2023). Technical Report EPA-420-B-24-042, Office of Transportation and Air Quality, U.S. Environmental Protection Agency.

U.S. Environmental Protection Agency (2024b). Supply chain greenhouse gas emission factors v1.3 by NAICS-6. Technical report, U.S. Environmental Protection Agency. https://doi.org/10.23719/1531143, accessed October 2026.

U.S. Environmental Protection Agency (2024c). U.S. energy use intensity by property type: U.S. national median reference values. Technical report, ENERGY STAR Portfolio Manager. https://www.energystar.gov/buildings/tools-and-resources/portfolio-manager-technical-reference-us-national-energy-use, accessed October 2026.

U.S. Federal Highway Administration and Bureau of Transportation Statistics (2023). Freight Analysis Framework version 5 (FAF5): Commodity value and tonnage by commodity type. Technical report, U.S. Department of Transportation. https://www.bts.gov/faf/faf5, accessed October 2026.

Wang, M., Wu, J., Kafa, N., and Klibi, W. (2020). Carbon emission-compliance green location-

inventory problem with demand and carbon price uncertainties. *Transportation Research Part E: Logistics and Transportation Review*, 142:102038.

Wang, Y., Shu, J., Su, J., and Zhen, L. (2025). Inventory placement with carbon cap-and-trade in guaranteed service supply chains. *Transportation Research Part E: Logistics and Transportation Review*, 193:103813.

Zhang, J., Yang, L., and Campbell, J. F. (2026). Economic and environmental impacts of integrated drone delivery systems. *Transportation Research Part E: Logistics and Transportation Review*, 209:104759.

# A Proofs

*Proof of Lemma 4.1.* We give the argument for $J$; for $C$ replace each blended rate by its carbon rate and set $h_p = 0$. Let $x = \ln n$ and $y = \ln v$, which range over a box, and let $k = z\sigma\sqrt{ND}$. Then, up to the constant $cN\mu$,

$$J = F_\tau e^x + H_\tau k\, e^{g(x,y)} + h_p N\mu D\, e^{-y} + T_\tau(e^y)\, N\mu D + \ell_\tau N\mu\delta\, e^{-x/2},$$

with $g(x,y) = \frac{1}{2}\ln\big(N\rho + (1-\rho)e^x\big) - \frac{1}{2}y$. (i) The facility and last-mile terms are strictly convex in $x$. The function $g$ is convex, because $\ln(c_1 + c_2 e^x)$ is convex for $c_1 \geq 0$ and $c_2 > 0$, so the holding term is log-convex and therefore convex. The transport term is convex in $y$, because $T_\tau$ is convex and nondecreasing and $e^y$ is convex. For strict convexity, let $S = H_\tau k\, e^g$; its Hessian is $S\big(\nabla^2 g + \nabla g\, \nabla g^\mathsf{T}\big)$, with $\nabla g = (g_x, -\frac{1}{2})$ and $\nabla^2 g = \mathrm{diag}(g_{xx}, 0)$, $g_{xx} \geq 0$. The Hessian of the facility, holding, and last-mile terms therefore has $(x,x)$ entry $F_\tau e^x + \frac{1}{4}\ell_\tau N\mu\delta e^{-x/2} + S(g_{xx} + g_x^2) > 0$, $(y,y)$ entry $S/4$, and off-diagonal entry $-Sg_x/2$, so its determinant is $\big(F_\tau e^x + \frac{1}{4}\ell_\tau N\mu\delta e^{-x/2}\big)S/4 + S^2 g_{xx}/4 > 0$. Adding the convex transport and financing terms preserves strict convexity. (ii) A strictly convex continuous function has a unique minimizer on a compact convex set. Since $J$ is continuous in $(x, y, \tau)$, the minimizer is continuous in $\tau$ by the maximum theorem. With $u = \tau/(1+\tau)$, the function $J/(1+\tau) = (1-u)K + uC$ is continuous in $(x, y, u)$ on $u \in [0,1]$ and strictly convex at each $u$, so the minimizer tends to that of $C$ as $\tau \to \infty$. (iii) For fixed $x$, $J$ is strictly convex in $y$, so the speed response is unique and, by the maximum theorem, continuous. Only the holding term couples $x$ and $y$, with cross-partial $-Sg_x/2 \leq 0$, so $J$ has decreasing differences in $(x, y)$ and each response is nondecreasing in the other decision (Topkis 1998). The reduced objective, the partial minimum of a strictly convex function over a convex set, is strictly convex in $x$ and so strictly quasiconvex in $n$; by Danskin's theorem, which applies because the speed response is unique, $J_n^{\mathrm{r}}(n) = J_n\big(n, v^*(n)\big)$, which changes sign at most once, from negative to positive. For strict monotonicity with $\rho < 1$: where $v^*$ is interior, the right side of (12) strictly increases in $n$ and strictly decreases in $v$, while its left side does not depend on $n$ and is nondecreasing in $v$, so $v^*$ strictly increases in $n$, and projection onto the speed bounds preserves monotonicity. Since $J_{nv} = -H_\tau G(n,v)/(2v) < 0$, the sign change of $J_n(\cdot, v)$ occurs at a higher $n$ when $v$ rises. □

*Proof of Proposition 4.2.* (i) $N\mu D\, t(v)$, $N\mu D\, \varepsilon(v)$, and $h_p N\mu D\, v^{-1}$ are convex and $\kappa(n)v^{-1/2}$ has $\partial_v^2 = \frac{3}{4}\kappa(n)v^{-5/2} > 0$, so both objectives are strictly convex in $v$. We use $M_s = \frac{1}{2}h\,\kappa(n)\,v_{\mathrm{K}}^{-3/2} = h\mathrm{SS}/(2v_{\mathrm{K}})$ and $M_p = h_p N\mu D\, v_{\mathrm{K}}^{-2} = h_p P/v_{\mathrm{K}}$ to denote the marginal savings of safety stock and of stock in transit, so that $a(n, v_{\mathrm{K}}) = M_s/(M_s + M_p)$. The cost optimum satisfies $\hat{K}'(v_{\mathrm{K}}) = 0$, i.e. $N\mu D\, t'(v_{\mathrm{K}}) = M_s + M_p$, so that $\frac{1}{2}\kappa(n)v_{\mathrm{K}}^{-3/2} = a(n, v_{\mathrm{K}})\, N\mu D\, t'(v_{\mathrm{K}})/h$. Evaluating the carbon derivative there,

$$\hat{C}'(v_{\mathrm{K}}) = -\eta\,\tfrac{1}{2}\kappa(n)v_{\mathrm{K}}^{-3/2} + N\mu D\,\varepsilon'(v_{\mathrm{K}}) = N\mu D\big(\varepsilon'(v_{\mathrm{K}}) - a(n, v_{\mathrm{K}})\,(\eta/h)\,t'(v_{\mathrm{K}})\big),$$

which is negative — so $v_C > v_{\mathrm{K}}$ by strict convexity — if and only if (13). With $t' = 2t_1 v$ and $\varepsilon' = 2\varepsilon_0 v$ the marginal ratio is $\varepsilon_0/t_1$, and with $h_p = 0$ the priced first-order condition (12) gives $v^{5/2} = (h + \tau\eta)z\sigma\sqrt{ND}\,\sqrt{\Psi}/[4(t_1 + \tau\varepsilon_0)N\mu D]$, which is (14). The projection and the boundary qualification are immediate. (ii) Let $s = z\sigma$, so that $\mathrm{SS} \propto s\, v^{-1/2}$. Under the quadratic specification, condition (12) takes the form $M_s + M_p = 2(t_1 + \tau\varepsilon_0)N\mu D\, v$ with $M_s = H_\tau \mathrm{SS}/(2v) \propto s\, v^{-3/2}$ and $M_p = h_p N\mu D\, v^{-2}$; let $a_\tau = M_s/(M_s + M_p)$. Implicit differentiation gives $\mathrm{d}\ln v^*/\mathrm{d}\ln s = M_s/(\frac{5}{2}M_s + 3M_p) = a_\tau/(3 - a_\tau/2) \in (0, \frac{2}{5}]$, so speed rises with service and demand volatility; without financing $v^* \propto s^{2/5}$, as in (14). At $\tau = 0$, $M_s/M_p \propto s\, v_{\mathrm{K}}^{1/2}$ rises in $s$, directly and through $v_{\mathrm{K}}$, so $a(n, v_{\mathrm{K}})$ rises in $s$; the right side of (13) is the constant $\varepsilon_0/t_1$, so the comparison can change only toward faster replenishment, and without financing it does not change. □

*Proof of Proposition 4.3.* (i) By Lemma 4.1(iii), $J(\cdot, v)$ and $C(\cdot, v)$ are strictly quasiconvex on $[1, N]$, which gives uniqueness and the interior/boundary characterization. For the threshold, take $\tau = 0$ for cost and $\tau \to \infty$ for carbon. The cost density satisfies $\partial_n K = F + h\,G(n_K, v) - t_L N\mu\delta/(2n_K^{3/2}) = 0$, so the last-mile marginal $t_L N\mu\delta/(2n_K^{3/2}) = F + h\,G(n_K, v)$. Evaluating the carbon derivative there,

$$\partial_n C\big|_{n_K} = \varphi + \eta\, G(n_K, v) - \frac{\varepsilon_L N\mu\delta}{2n_K^{3/2}} = \varphi + \eta\, G(n_K, v) - \frac{\varepsilon_L}{t_L}\big[F + h\, G(n_K, v)\big],$$

which is negative — so $n_C > n_K$ by strict quasiconvexity of $C(\cdot, v)$ — if and only if (16). With $R(G) = (\varphi + \eta G)/(F + hG)$, we have $R(0) = \varphi/F$, $R(G) \to \eta/h$ as $G \to \infty$, and $R'(G) = (\eta F - h\varphi)/(F + hG)^2$, so $R$ is monotone with $\operatorname{sign} R' = \operatorname{sign}(\eta/h - \varphi/F)$ and lies between $\varphi/F$ and $\eta/h$. In the no-pooling limit $\rho \to 1$, $G \to 0$ and $\Psi \to N$, so (11) gives $n^* = (\ell_\tau N\mu\delta/2F_\tau)^{2/3}$ and (16) becomes (17). (ii) Along the speed response of Proposition 4.2(ii), the envelope theorem gives $J_n^{\mathrm{r}}(n; s) = J_n\big(n, v^*(n; s); s\big)$, including at a binding speed. The holding marginal term in (11) is proportional to $s(v^*)^{-1/2}(1 - \rho)/\sqrt{\Psi(n)}$. Its elasticity in $s$ is $1 - a_\tau/(6 - a_\tau) \geq \frac{4}{5}$ where speed is interior and one where speed remains at a bound. By continuity, the term therefore rises in $s$ across changes in the active speed bound as well. By Lemma 4.1(iii), $J_n^{\mathrm{r}}(\cdot\,; s)$ changes sign at most once, from negative to positive, and it is increasing in $s$; its sign change therefore occurs at a lower $n$ when $s$ rises, so the optimal density is nonincreasing in $s$, and strictly decreasing where it is interior. □

*Proof of Proposition 4.4.* (i) By Lemma 4.1 applied to the carbon objective, $n_C > n_K$ if and only if the reduced carbon objective slopes downward at $n_K$, $C_n^{\mathrm{r}}(n_K) < 0$, and $n_C = n_K$ if it is zero. By the envelope theorem (Danskin's theorem, since $\hat{v}_C$ is unique whether or not it is at a bound), $C_n^{\mathrm{r}}(n_K) = \varphi + \eta\, G(n_K, \hat{v}_C) - \frac{1}{2}\varepsilon_L N\mu\delta\, n_K^{-3/2}$. The cost condition (11) at $\tau = 0$, which holds because $n_K$ is interior, gives $\frac{1}{2}t_L N\mu\delta\, n_K^{-3/2} = F + hG(n_K, v_K)$, and the last term equals $r_L\big[F + hG(n_K, v_K)\big]$. Since $G \propto v^{-1/2}$, $\eta\, G(n_K, \hat{v}_C) = h\, G(n_K, v_K)\, r_h\sqrt{v_K/\hat{v}_C}$. Dividing $C_n^{\mathrm{r}}(n_K)$ by $F + hG(n_K, v_K) > 0$ and substituting $\varphi = F\, r_F$ gives (20). Under the quadratic specification with $v_K$ and $\hat{v}_C$ interior, the carbon condition (12) at $n_K$ gives $\eta\mathrm{SS}(n_K, \hat{v}_C) = 4\varepsilon_0 N\mu D\, \hat{v}_C^2$, and the cost condition gives $h\mathrm{SS}(n_K, v_K) = 4a_K t_1 N\mu D\, v_K^2$; with $\mathrm{SS} \propto v^{-1/2}$ these imply $(\hat{v}_C/v_K)^{5/2} = a_K R_{\mathrm{speed}}$, so $r_h\sqrt{v_K/\hat{v}_C} = r_h^{4/5} r_t^{1/5} a_K^{-1/5}$, which is (21). The second expression for $\omega$ in (18) follows from $F + hG(n_K, v_K) = \frac{1}{2}t_L N\mu\delta\, n_K^{-3/2}$ and $F = \frac{1}{2}t_L N\mu\delta\, (n_K^0)^{-3/2}$. (ii) The carbon objective has no financing term, so by (12) its speed response satisfies $v_C(n)^{5/2} \propto \sqrt{\Psi(n)}$, and $\ln[v_C/\hat{v}_C] = \frac{1}{5}\ln[\Psi(n_C)/\Psi(n_K)]$. Adding $\ln[\hat{v}_C/v_K] = \frac{2}{5}\ln(a_K R_{\mathrm{speed}})$ from part (i) gives (22). If (21) holds and $a_K R_{\mathrm{speed}} \geq 1$, then $n_C > n_K$ and $\Psi(n_C) > \Psi(n_K)$, so in (22) the first term is nonnegative and the second positive; the reversed case is symmetric. Since $\Psi$ is increasing with $\Psi(1) \leq \Psi(n_C) \leq \Psi(N) = N$, the threshold $\sqrt{\Psi(n_K)/\Psi(n_C)}$ lies in $[\underline{R}, \overline{R}]$. (iii) With $\rho = 1$, $\Psi \equiv N$ and $G \equiv 0$, so (11) involves only $F_\tau$ and $\ell_\tau$ and gives $n^*(\tau) = (\ell_\tau N\mu\delta/2F_\tau)^{2/3}$; the ratio of its carbon and cost values is $(r_L/r_F)^{2/3}$. The speed response no longer depends on $n$, and by the argument of part (i) the ratio of its carbon and cost values is $(a_K R_{\mathrm{speed}})^{2/5}$. For (23), carbon separates into a proximity component $C_{\mathrm{prox}}(n) = \varphi n + \varepsilon_L N\mu\delta n^{-1/2}$, an availability component $C_{\mathrm{avail}}(v) = \eta z\sigma N\sqrt{D/v} + \varepsilon_0 N\mu D\, v^2$, and the constant $\varepsilon_b N\mu D$, with $\theta = C_{\mathrm{prox}}(n_C)/C_{\min}$ and $\theta_a = C_{\mathrm{avail}}(v_C)/C_{\min}$. A function $c_1 n + c_2 n^{-1/2}$ attains its minimum $3c_1 n^\circ$ at $n^\circ = (c_2/2c_1)^{2/3}$ and equals $c_1 n^\circ(x + 2x^{-1/2})$ at $n = xn^\circ$; with $n_K = x n_C$ and $x = R_{\mathrm{density}}^{-2/3}$, $C_{\mathrm{prox}}(n_K)/C_{\mathrm{prox}}(n_C) = (x + 2x^{-1/2})/3$. Likewise $c_1 v^{-1/2} + c_2 v^2$ attains its minimum $\frac{5}{4}c_1(v^\circ)^{-1/2}$ and equals $c_1(v^\circ)^{-1/2}(y^{-1/2} + y^2/4)$ at $v = yv^\circ$, so with $v_K = y v_C$ and $y = (a_K R_{\mathrm{speed}})^{-2/5}$, $C_{\mathrm{avail}}(v_K)/C_{\mathrm{avail}}(v_C) = (4y^{-1/2} + y^2)/5$. Weighting by $\theta$ and $\theta_a$ and adding the constant share $1 - \theta - \theta_a$ gives $C(n_K, v_K)/C_{\min}$ exactly. Expanding $x = e^{u_1}$ and $y = e^{u_2}$ to second order gives (23). □

*Proof of Proposition 4.5.* (i) Condition (12) is $\Upsilon(v, \tau) = 2b_\tau N\mu D\, v - M_s - M_p = 0$, with $b_\tau = t_1 + \tau\varepsilon_0$, $M_s = H_\tau \mathrm{SS}/(2v)$, and $M_p = h_p P/v$. Then $v\,\Upsilon_v = \frac{5}{2}M_s + 3M_p$ and, since $\tau\eta/H_\tau = s_h$ and $\tau\varepsilon_0/b_\tau = s_t$, $\tau\,\Upsilon_\tau = s_t(M_s + M_p) - s_h M_s$. Hence $\mathrm{d}\ln v^*/\mathrm{d}\ln\tau = -\tau\Upsilon_\tau/(v\Upsilon_v) = (a_\tau s_h - s_t)/(3 - a_\tau/2)$ with $a_\tau = M_s/(M_s + M_p)$. Substituting the definitions, $a_\tau s_h - s_t = \tau\,(h\mathrm{SS} + 2h_p P)\, t_1\, [a(n, v^*)\, r_h - r_t]/[(H_\tau \mathrm{SS} + 2h_p P)\, b_\tau]$, which has the sign of $a(n, v^*)r_h - r_t$. Because $a(n, v)$ rises with $v$, a positive sign raises $v^*$ and keeps the sign positive, and a negative sign lowers $v^*$ and keeps it negative, so the sign does not change along the path and $v^*$ is monotone in $\tau$. With $h_p = 0$, $a_\tau = 1$ and the elasticity is $\frac{2}{5}(s_h - s_t)$. (ii) The same computation applies to $n^* = (\ell_\tau N\mu\delta/2F_\tau)^{2/3}$. (iii) With $h_p = 0$, by (14), along the speed response $H_\tau G\big(n, v^*(n)\big) = c_G\,(1 - \rho)\, H_\tau^{4/5} b_\tau^{1/5} \Psi(n)^{-3/5}$, with $b_\tau = t_1 + \tau\varepsilon_0$ and $c_G > 0$ depending on neither $n$ nor $\tau$. By the envelope theorem, $J_n^{\mathrm{r}} =$

$F_\tau + H_\tau G\big(n, v^*(n)\big) - \frac{1}{2}\ell_\tau N\mu\delta n^{-3/2}$; multiplying by $n^{3/2}/\ell_\tau > 0$ preserves its sign,

$$\frac{n^{3/2}J_n^{\mathrm{r}}}{\ell_\tau} = \frac{F_\tau}{\ell_\tau}\, n^{3/2} + c_G\,(1-\rho)\,\frac{H_\tau^{4/5} b_\tau^{1/5}}{\ell_\tau}\,\frac{n^{3/2}}{\Psi(n)^{3/5}} - \tfrac{1}{2}N\mu\delta.$$

This expression changes sign at most once, from negative to positive (Lemma 4.1(iii)). If both coefficients are nonincreasing in $\tau$, the expression is pointwise nonincreasing in $\tau$, so its sign change moves weakly to higher $n$ and $n^*(\tau)$ is nondecreasing. The logarithmic derivatives of the coefficients are $1/(r_F^{-1}+\tau) - 1/(r_L^{-1}+\tau)$ and $\frac{4}{5}/(r_h^{-1}+\tau) + \frac{1}{5}/(r_t^{-1}+\tau) - 1/(r_L^{-1}+\tau)$. Since $1/(r^{-1}+\tau)$ is increasing in $r$, both are nonpositive at every $\tau$ when $r_L$ exceeds $r_F$, $r_h$, and $r_t$, and nonnegative when it falls short of each.

*Low-price density response* (24). In $x = \ln n$ and $y = \ln v$, with subscripts denoting partial derivatives and $S$ and $P$ the safety stock and stock in transit at the interior cost minimum, the Hessian of $K$ is positive definite (Lemma 4.1), so differentiating the stationarity conditions of $K+\tau C$ at $\tau = 0$ gives $\operatorname{sign} \mathrm{d}x^*/\mathrm{d}\tau = \operatorname{sign}(K_{xy}C_y - K_{yy}C_x)$. With $M = nF + hSg_x$ the marginal cost of an additional DC in logarithmic units, so that $\omega = hSg_x/M$ and, by $K_x = 0$, $M = \frac{1}{2}t_L N\mu\delta n^{-1/2}$, we have $C_x = M[(1-\omega)r_F + \omega r_h - r_L]$ and $K_{xy} = -\frac{1}{2}\omega M$. The speed condition $K_y = 0$ gives $2t_1 v^2 N\mu D = \frac{1}{2}hS + h_p P = hS/(2a_K)$, so $K_{yy} = \frac{1}{4}hS + h_p P + 4t_1 v^2 N\mu D = hS(6-a_K)/(4a_K)$ and $C_y = -\frac{1}{2}\eta S + 2\varepsilon_0 v^2 N\mu D = hS(r_t - a_K r_h)/(2a_K)$. Substituting, $K_{xy}C_y - K_{yy}C_x > 0$ if and only if (24) holds. □

*Proof of Corollary 4.6.* (i) In (25) the throughput coefficient $\Gamma(n,v) = \varepsilon(v)D + \varepsilon_L d(n) > 0$, so $\{\tilde{C} \le B\} = \{Q \le (B - \varphi n - \eta \mathrm{SS})/\Gamma\}$, and $\Pr\{\tilde{C} \le B\} \ge 1-\beta_c$ holds iff $(B - \varphi n - \eta\mathrm{SS})/\Gamma \ge q_{1-\beta_c}$, with $q_{1-\beta_c} = \inf\{q : \Pr(Q \le q) \ge 1-\beta_c\}$, i.e. $\varphi n + \eta\mathrm{SS} + \Gamma\, q_{1-\beta_c} \le B$. Because $\Gamma\, q_{1-\beta_c} = (q_{1-\beta_c}/N\mu)\,[\varepsilon(v)N\mu D + \varepsilon_L N\mu d(n)]$, this condition is (26). Under normality $q_{1-\beta_c} = N\mu + z_{\beta_c}\sigma_Q$, so $m = 1 + z_{\beta_c}\,\mathrm{CV}_Q$. From $\sigma_Q^2 = \sigma^2 N[1+(N-1)\rho]$, $\mathrm{CV}_Q = (\sigma/\mu)\sqrt{[1+(N-1)\rho]/N}$ is increasing in $\sigma/\mu$ and, for $N > 1$, in $\rho$, and $z_{\beta_c}$ is increasing in $1-\beta_c$, so, for $\beta_c < \frac{1}{2}$, $m$ is increasing in all three. (ii) The chance constraint multiplies the inbound and last-mile carbon rates by $m$ and leaves the cost rates, and so $n_K$, $\omega$, and $a_K$, unchanged; substituting $m\varepsilon_0$ and $m\varepsilon_L$ for $\varepsilon_0$ and $\varepsilon_L$ in Propositions 4.2–4.4 gives the thresholds. For the joint speed, divide the carbon density condition by $m$: its facility and lost-pooling terms then scale as $m^{-1}$ and $m^{-4/5}$ and, multiplied by $n^{3/2}$, rise in $n$ with elasticities $\frac{3}{2}$ and at least $\frac{9}{10}$, so that, at an interior $n_C$, $\mathrm{d}\ln n_C/\mathrm{d}\ln m \le \frac{8}{9}$. Since $\Psi$ has elasticity at most one in $n$, (22) with $a_K R_{\mathrm{speed}}/m$ in place of $a_K R_{\mathrm{speed}}$ gives $\mathrm{d}\ln v_C/\mathrm{d}\ln m \le -\frac{2}{5} + \frac{1}{5}\cdot\frac{8}{9} < 0$. On intervals where density remains at a bound, the fixed-density carbon speed is nonincreasing in $m$; where speed remains at a bound, it is constant. Continuity extends the weak ordering across changes in the active bounds. □

# B Economies of scale in operating a DC

Here we let a DC's cost and carbon show economies of scale in its throughput. Each DC is sized to its planned throughput $q = N\mu/n$; its cost is $F + c(q)$ and its carbon $\varphi + \psi(q)$, with

$c(q) = c_0(q/q_0)^{\zeta_c}$ and $\psi(q) = \psi_0(q/q_0)^{\zeta_\psi}$, where $q_0$ is a reference throughput and $\zeta_c, \zeta_\psi \in [0,1]$. An exponent below one represents economies of scale, and an exponent of one gives the proportional handling of Section 3. The network's facility cost and carbon are $K_F(n) = Fn + n\,c(N\mu/n)$ and $C_F(n) = \varphi n + n\,\psi(N\mu/n)$, and an additional DC costs and emits

$$\bar{F} = K_F'(n) = F + (1-\zeta_c)\,c(q), \qquad \bar{\varphi} = C_F'(n) = \varphi + (1-\zeta_\psi)\,\psi(q),$$

its fixed charge plus the scale economies that the network forgoes by spreading its throughput over one more DC. For exponents between zero and one, $\bar{F}$ and $\bar{\varphi}$ fall as the network grows.

Since $n\,c(N\mu/n) = c_0(N\mu/q_0)^{\zeta_c} n^{1-\zeta_c}$, and likewise for $\psi$, the priced facility term $K_F + \tau C_F$ is a sum of nonnegative multiples of $e^x$, $e^{(1-\zeta_c)x}$, and $e^{(1-\zeta_\psi)x}$ in $x = \ln n$, with second derivative at least $(F + \tau\varphi)e^x > 0$. The Hessian argument of Lemma 4.1 therefore goes through, and (11) holds with $F_\tau$ replaced by $\bar{F}_\tau = \bar{F} + \tau\bar{\varphi}$. Propositions 4.3 and 4.4(i)–(ii), and condition (24) hold with $F$, $\varphi$, and $r_F$ replaced by $\bar{F}$, $\bar{\varphi}$, and $\bar{\varphi}/\bar{F}$, evaluated at the density in question. The closed forms that use $F$ directly, the no-pooling optimum $n^* = (\ell_\tau N\mu\delta/2F_\tau)^{2/3}$, the second expression for $\omega$ in (18), and Proposition 4.4(iii), hold for the linear model only.

In the no-pooling limit, the density elasticity of Proposition 4.5(ii) becomes $\mathrm{d}\ln n^*/\mathrm{d}\ln\tau = (s_L - \bar{s}_F)/(\frac{3}{2} - \epsilon_F)$, where $\bar{s}_F = \tau\bar{\varphi}/\bar{F}_\tau$ is the carbon share of the priced marginal facility cost and $\epsilon_F = -\mathrm{d}\ln\bar{F}_\tau/\mathrm{d}\ln n = [\zeta_c(1-\zeta_c)c(q) + \tau\zeta_\psi(1-\zeta_\psi)\psi(q)]/\bar{F}_\tau$ is the rate at which it falls with density. Differentiating the logarithm of $\bar{F}_\tau(n) = \frac{1}{2}\ell_\tau N\mu\delta n^{-3/2}$ gives $\bar{s}_F - \epsilon_F\,\mathrm{d}\ln n^*/\mathrm{d}\ln\tau = s_L - \frac{3}{2}\,\mathrm{d}\ln n^*/\mathrm{d}\ln\tau$, and since $\zeta_c, \zeta_\psi \le 1$, $0 \le \epsilon_F \le (\bar{F}_\tau - F - \tau\varphi)/\bar{F}_\tau < 1$. Economies of scale therefore amplify the local response of density to a given difference in carbon shares, provided the optimum remains interior. In part (iii), the facility term of $n^{3/2}J_n^{\mathrm{r}}/\ell_\tau$ becomes $[F + \tau\varphi + (1-\zeta_c)c(q) + \tau(1-\zeta_\psi)\psi(q)]\,n^{3/2}/\ell_\tau$. Its throughput part consists of terms in $n^{3/2-\zeta_c}$ and $n^{3/2-\zeta_\psi}$, so the expression still changes sign at most once, and its derivative in $\tau$ has the sign of $t_L(1-\zeta_\psi)\psi(q) - \varepsilon_L(1-\zeta_c)c(q)$. The density is therefore nondecreasing along the path if, in addition to the conditions of part (iii) with $\varphi/F$ in place of $r_F$, $(1-\zeta_\psi)\psi(q) \le r_L(1-\zeta_c)c(q)$ at every density, and nonincreasing under the reverse inequalities.

Under a cap on realized carbon, DCs sized to their planned throughput keep facility carbon deterministic, and Corollary 4.6 holds with $C_F(n)$ in place of $\varphi n$ and the replacements above. In the proof of part (ii), the facility term of the scaled carbon density condition, multiplied by $n^{3/2}$, rises in $n$ with elasticity $\frac{3}{2} - \epsilon_\varphi > \frac{1}{2}$, where $\epsilon_\varphi = -\mathrm{d}\ln\bar{\varphi}/\mathrm{d}\ln n < 1$, so $\mathrm{d}\ln n_C/\mathrm{d}\ln m < 2$ and $\mathrm{d}\ln v_C/\mathrm{d}\ln m < -\frac{2}{5} + \frac{1}{5}\cdot 2 = 0$. Energy that varied with realized volume would scale by $m^{\zeta_\psi}$.